

DB HiTek

ESG REPORT

2023–2024 DB HiTek ESG Sustainability Report



Table of Contents

Company Profile

▪ CEO Message	03
▪ Company Overview	04
▪ Introduction to Business Locations	06

ESG Performance

▪ ESG Management	14
▪ Environment	15
▪ Society	38
▪ Governance	59

2023 At a Glance

▪ Business Performance	07
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Sustainability

▪ ESG Management Strategy and Sustainable Management	08
▪ Ethical Management	09
▪ Code of Ethics and Conduct	10
▪ Ethical Purchasing	11
▪ Stakeholder Engagement	13

Appendix

▪ Key Performance Indicators for ESG Management	67
▪ Double Materiality Assessment and Core Issues	71
▪ SASB Index	73
▪ GRI Standards	74
▪ UN SDGs Index	76
▪ Third Party Assurance	77
▪ Code of Conduct	80
▪ About This Report	91





DB HiTek Co., Ltd
Representative Director & CEO

Ki Seog Cho

Ki Seog Cho

CEO's Greeting

Greetings from our CEO

The pandemic has brought about many changes in our lives over the past few years and had a positive impact on the IT industry, including semiconductors. With the end of the pandemic and the increase of regional conflicts leading to a global economic downturn, competitions among countries in the semiconductor industry have become ever more intense, causing difficulties across the entire industry.

On the bright side, new high-growth sectors such as AI, electric vehicles, and IoT are driving changes in the industry, shedding light on the future of the semiconductor industry. Leveraging its world-class power management IC technology competitiveness, DB HiTek will continue to expand its market share of high-value products in automotive and industrial sectors and maximize management efficiency through strategic resource management.

In the future, the semiconductor industry must play a central role in the Fourth Industrial Revolution, leading the way to a new paradigm for creating a sustainable management environment where the entire ecosystem, including humanity, can coexist and prosper together.

Taking seriously the responsibilities that companies must bear, DB HiTek, as a member of the semiconductor industry, is engaged in various activities across all areas of ESG, namely, environment, society, and governance, to meet the expectations of its stakeholders, thereby solidifying its sustainable management system.

First, to reduce greenhouse gases and carbon emissions that cause global warming, we are expanding our eco-friendly investments and striving to minimize the environmental impact in the entire process of product development, manufacturing, and disposal.

Second, to solve various problems our society faces, we are establishing a close cooperation network with the local organizations where our worksites are located and developing win-win activities. We also seek to improve the working conditions of our employees and partners.

Third, to accelerate improvements in governance, we are striving to solidify our ESG management system further by enhancing the activities of the Sustainability Management Committee within the Board of Directors and establishing the Internal Transactions Committee and Compensation Committee. Moving forward, we will continue to be committed to supporting and faithfully complying with the United Nations Sustainable Development Goals (SDGs) and actively communicating with stakeholders.

I ask for your generous support and interest in DB HiTek as it continues to achieve shared growth with society as a responsible member of the corporate society.

Company Overview

DB HiTek, World Leader in Specialty Foundry

DB HiTek launched its business in 1997 as Korea's first system semiconductor foundry.

DB HiTek's semiconductor foundry business is a customized service that consigns the production of system semiconductors to customer designs based on state-of-the-art manufacturing technology of semiconductors from 90 nanometers to 0.35 microns.

We produce various types of semiconductors, such as power management IC (PMIC), contact image sensor (CIS), and display driver IC (DDI), embedded in various applications ranging from mobile phones to industrial and medical equipment and automobiles.

In particular, DB HiTek developed the world's first 0.18um BCDMOS process and has secured the world's best technology in the analog/power fields ever since.

Based on our rich experience in production, we are reinforcing our competitiveness by securing processes such as Mixed-Signal, CMOS Image Sensor, RF, MEMS, and SJ MOSFET.

Additionally, DB HiTek has positioned itself as a leading global system semiconductor company in high-value-added and high-growth application areas, such as High Voltage BCD, IGBT, SiC, GaN, and Specialty CIS.

DB HiTek is concentrating our capabilities on developing the latest system semiconductor manufacturing technology while striving to advance the domestic system semiconductor industry.

Company Overview

History



1997's Company Established

- Development and mass production of the first 0.18um BCD process in the market
- Expansion into fabless business (DDI)



2014's Profit Turnaround

- Recruitment of human resources and accumulation of technical expertise
- Strengthened business structure
 - Development of new high-value-added processes and products, increased capacity, expansion of customer base, cost reduction



2022's All-Time High Sales and Operating Profit

- Entry into a stable growth trajectory
- Preparation for "jump-up" growth
- Spin-Off of Foundry and Fabless for Specialization (2023)

2023 At a Glance

Sustainability

Vision Diagram

Vision

Great People Technology

Vision Statement

We will become the best to make DB HiTek **the world's best company** in the field of specialized system semiconductors through revolutionary technologies

Core Value

Priority on Customer Value

Endless Pursuit

Lead by Example
Self-Management

ESG Performance

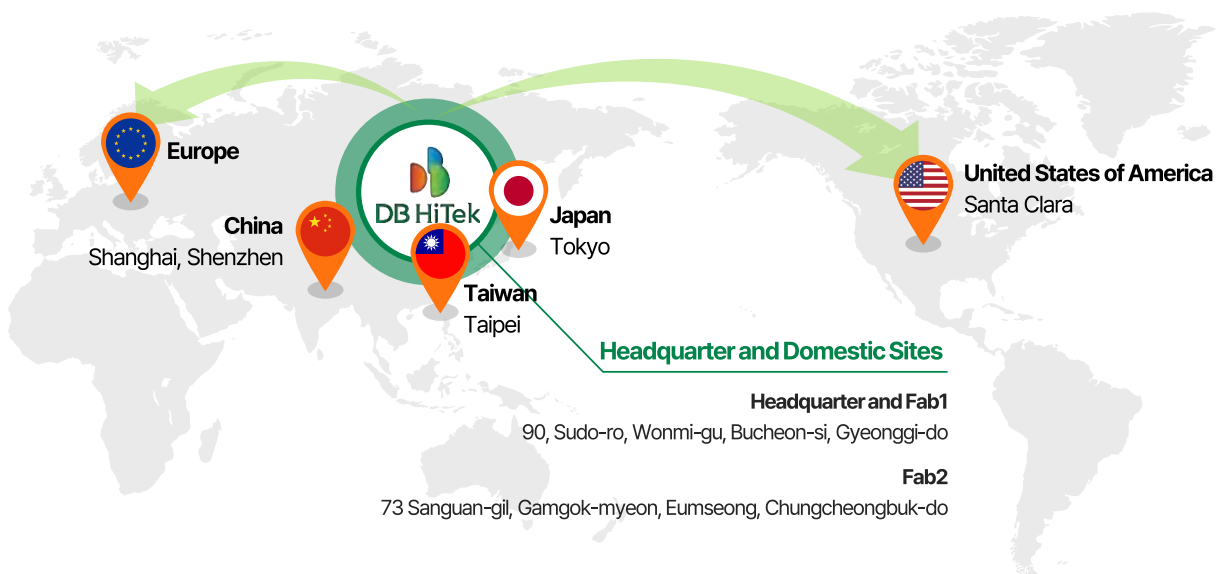
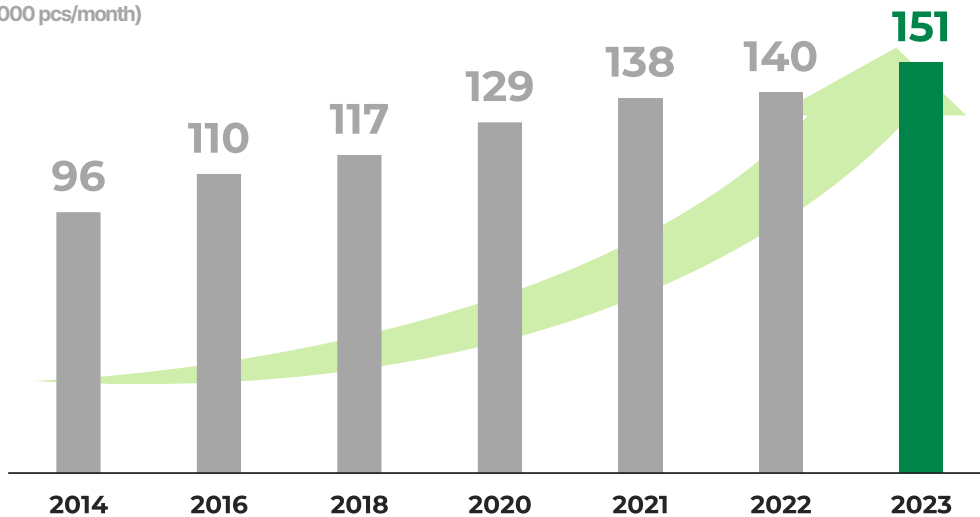
Appendix

Introduction to Business Locations

DB HiTek **produces cutting-edge system semiconductors** in Bucheon, Gyeonggi-do (Fab 1) and Eumseong, Chungcheongbuk-do (Fab 2) based on 90 nanometers to 0.35-micron process technology. We have secured a monthly production capacity of 151,000 sheets and plan to continuously expand it through steady innovations in production and by investing in equipment and facilities. Furthermore, with business technology networks established in Silicon Valley (USA), Taipei (Taiwan), Tokyo (Japan), Shanghai, and Shenzhen (China), we are engaging in global business with domestic and international semiconductor companies.

Wafer Production Capacity

(Unit: 1000 pcs/month)



Business Performance

In 2023, the semiconductor market entered a period of downturn amidst the global economic recession, with the entire industry facing severe challenges. With competition among companies and countries surrounding the semiconductor industry becoming even more intense, geopolitical risks such as the escalating U.S.-China conflict, the prolonged Russia-Ukraine war, and the outbreak of the Israel-Palestine war, as well as high inflation and high-interest rates, heightened uncertainty in the market to an unprecedented scale.

DB HiTek was not immune to these market conditions and experienced a decrease in both sales and operating profit compared to the previous year. However, by strengthening our foundry expertise, securing new clients and products, and reducing costs company-wide, we were able to minimize the slowdown and maintain an operating profit of 23%.

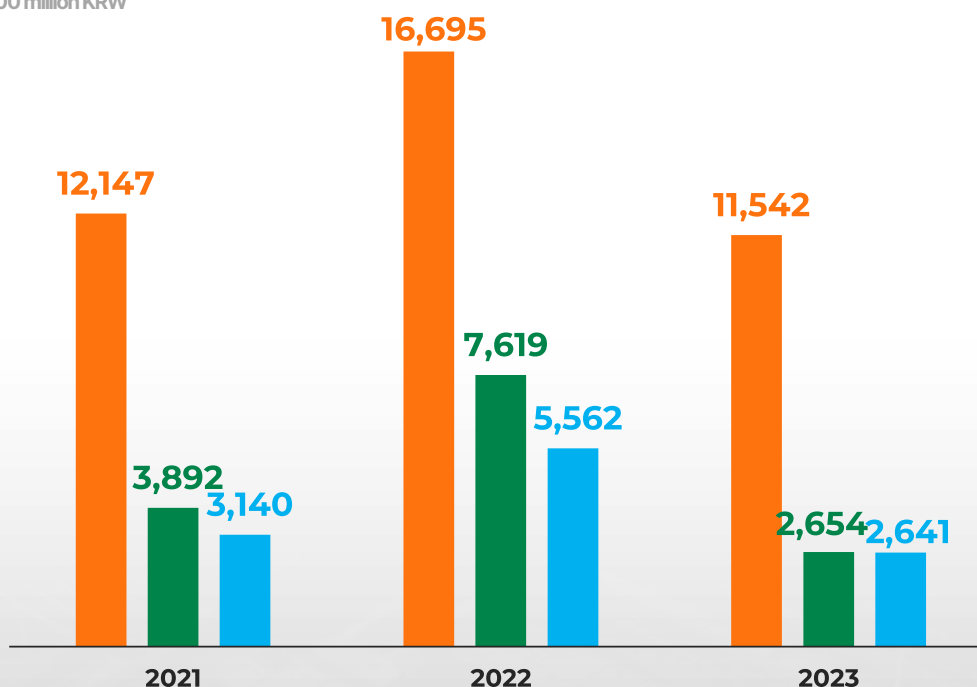
Our efforts for sustainable management have also continued. **Regarding our environmental activities, we have obtained the Korea Environmental Product Declaration Label and Business Continuity Management System (ISO 22301) certification for our analog and power foundry wafer. As for our social endeavors, we have made various contributions to local community development such as through Love Rice Sharing.** As for governance, we have made improvements in governance and shareholder rights protection by appointing an outside director as the head of committees established within the Board of Directors and expanding the repurchase of company shares.

In 2024, we will continue to do our utmost to minimize the impact of the downturn in the semiconductor industry, while striving to create a sustainable and prosperous environment and society.

Key Financial Performance

■ Sales revenue ■ Operating profit ■ Net profit

Unit: 100 million KRW



ESG Management Strategy

E

Advancement of eco-friendly management for carbon reduction

- Reinforcement of eco-friendly management policies
- Active pursuit of carbon reduction activities (energy ↓, recycled raw materials ↑, greenhouse gas ↓)
- Expansion of water and waste recycling
- Enhanced monitoring of hazardous substances
- Expansion of eco-friendly products and investments
- Protection of natural ecosystems and biodiversity

S

Good governance for sustainable growth

- Enhanced labor and human rights improvement activities
- Enhanced safety and health management
- Mutual growth through support for ESG with partner companies
- Contributions to local community development
- Investment in information protection
- Expanded communication with stakeholders
- Enhanced workplace safety and employee welfare

G

Reinforcement of co-prosperity management for creating social value

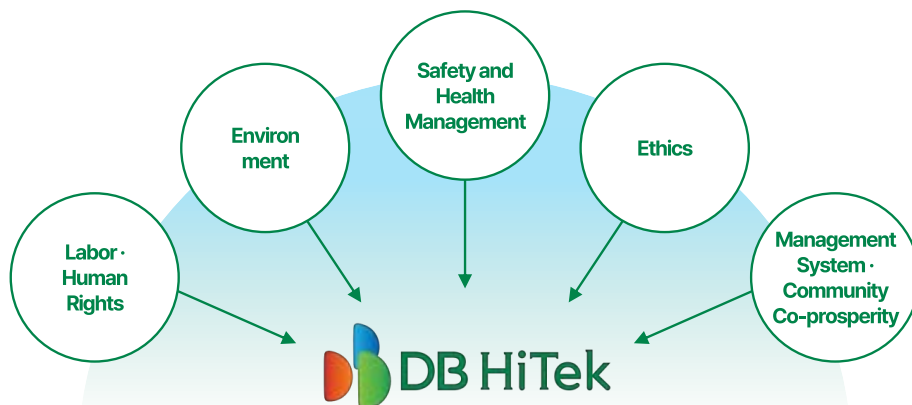
- Expansion of ESG-related roles of the Board of Directors
- Enhancement of independence and transparency of the Board of Directors
- Enhancement of shareholder rights protection
- Improvement of corporate governance
- Enhancement of ethical management
- Enhancement of risk management system

Sustainability Management

In order for a company to maintain its competitive edge while achieving sustainable growth in the ever-changing business environment of today, both internally and externally, it must focus not only on the traditional values of economic growth and profit-seeking, but also on environmental **protection**, **improvement of management transparency**, **ethical management**, **social responsibility**, and **other such contributions to the public good**.

As a global corporate citizen, DB HiTek intends to fulfill the social responsibilities that companies must bear in areas including **labor, human rights, the environment, health and safety, ethics, and supply chain management**. In particular, we have joined the global initiative RBA (Responsible Business Alliance) and established the DBH Code of Conduct for the five key areas (labor, health and safety, the environment, ethics, supply chain management), and are actively pursuing improvements accordingly.

DB HiTek aims to communicate and collaborate with various stakeholders for mutual growth, while also expanding its corporate value and competitive edge to achieve continuous growth.



Ethical Management

Ethical management refers to a method of business management recognizing ethical responsibilities to stakeholders in a comprehensive manner, including customers, employees, shareholders, suppliers, local communities, nations, and the environment, and applying them as important principles throughout the entire business process.

As a responsible corporate citizen, DB HiTek **strives to become a respected company by its stakeholders by prioritizing social benefits and customer value through its ethical management and compliance with fair trade practices.** To this end, we are leading in the establishment of an upstanding culture for ethical management through operating an organization specialized in ethical management directly under the CEO and solidifying the ethical management system.

Ethical Management Regulation



Based on the management philosophy of being a "good company," DB HiTek has established ethical management regulations to define and practice responsibilities and obligations towards customers, shareholders, employees, partner companies, local communities, and the nation. We strictly prohibit unfair dealings and unfair competition with partner companies, and we actively practice ethical purchasing activities. In addition, we have defined the basic rules of ethics for executives and employees, prohibiting them from corrupt practices and conflicts of interest, including their requirement to sign a pledge to the practice of ethical management every year, as part of our effort to establish a culture of ethical management.

Education on Corruption Prevention



We provide ongoing education to elevate employee awareness of ethical management and to prevent moral hazard and wrongdoing. Additionally, we provide education on prohibited acts related to unfair dealings and unfair competition with trading partners, while also conducting continuous education both online and offline.

Type	2021	2022	2023
Education of Ethical Management No. of Participants (persons)	77	134	1,163
Satisfaction (out of 5 points)	4.5	4.8	N/A

Policy for Reporting



DB HiTek operates a whistleblowing system to receive reports on any unethical behaviors, such as undue demands, corrupt practices, or unfair transactions, and to handle such reports in a fair manner. The whistleblowing system is accessible through the DB HiTek website and internal network, and it allows anyone within or outside the company, including employees of partner companies, to make anonymous reports. We also have a whistleblower protection system to ensure that whistleblowers are not subject to discrimination or disadvantages.

Type	2021	2022	2023
No. of Reports	5	5	2
No. of Reports Processed	5	5	2

Prevention of Corruption



To prevent ethical violations, we identify, analyze, and evaluate potential risks, and we develop anti-corruption risk assessment reports to establish corruption prevention measures and strengthen our ethical management system. In accordance with the related regulation (internal audit regulation), regular/non-regular investigations are conducted by an organization directly under the CEO.

Code of Ethics and Conduct

DB HiTek established a **Code of Conduct for Employees** Relating to Ethical Management to serve as a **barometer for ethical judgment and to be acted upon for the purpose of creating a corruption-free organizational culture.**

The Code of Conduct consists of five prefaces and 31 detailed principles, including matters regarding customers, shareholders, employees, local communities and countries, basic ethics of employees, and the Code of Conduct for Employees Relating to Ethical Management.



Code of Conduct for Employees Relating to Ethical Management to Becoming a Trusted Company to Society and Customers, Based on the Philosophy of Being a "Good Company"

- ✓ We shall perform our duties fairly and with pride as members of the DB corporation.
- ✓ We shall put customer satisfaction as our top priority in all decisions and for our Code of Conduct.
- ✓ We shall commit to protecting the interests of shareholders through corporate profits based on transparent and ethical management.
- ✓ We shall comply with all laws and company regulations, protect the assets and information of the company, and shall not make personal profit in relation to business.
- ✓ We shall strive to establish a relationship of respect and trust among all executives and employees for the continued advancement of the company.
- ✓ We shall constantly strive for self-development, boldly challenge new projects, and become the best in our specialties.
- ✓ We shall promote co-prosperity with our partners through sound business and lead the national economic development and environmental protection.

ESG Management

ESG management **provides a direction for a company's sustainable growth** and contributes to the mutual growth of the company and society; we at DB HiTek understand the significance of **environmental, social, and governance factors** in achieving sustainable growth, and are undertaking various efforts accordingly through establishing medium to long-term objectives.

DB HiTek shall continue to focus on ESG in the future to minimize management risk and achieve sustainable growth.

ESG rating trends by major domestic evaluation agencies



| Evaluating Institution |

Sustainvest

Classification	2019	2020	2021	2022	2023
Total Rating	AA	AA	AA	AA	AA

* Rating (7 grades): AA, A, BB, B, C, D, E

| Evaluating Institution |

Korea Institute of Corporate Governance and Sustainability

Classification	2019	2020	2021	2022	2023
Total Rating	B+	B+	A	B	B+
Environment	B+	B+	A	B	A
Social	A	A	A	B+	A
Governance	B+	B+	A	B	B

* Rating (7 grades): S, A+, A, B+, B, C, D

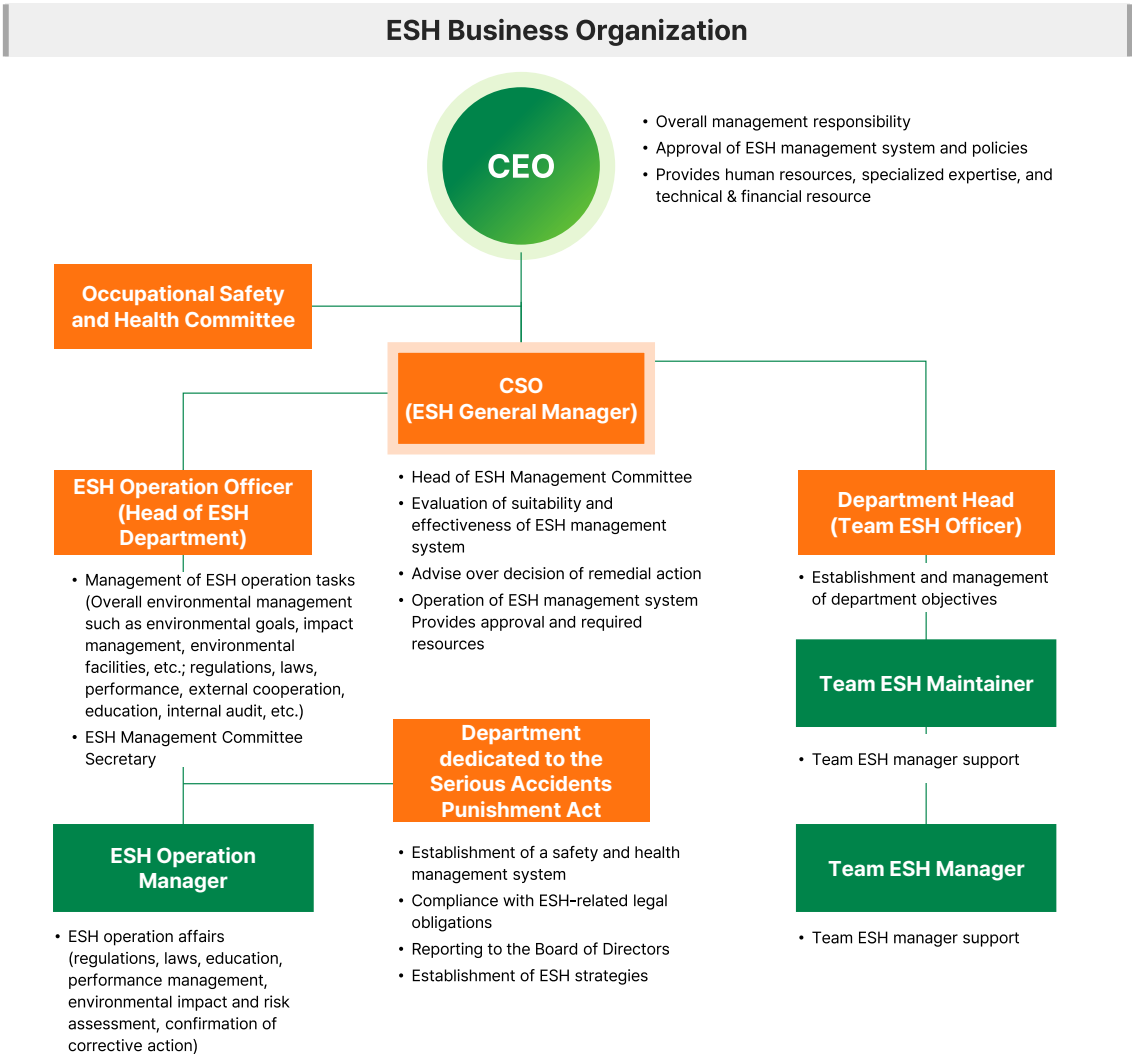
ESH System

Based on the vision of “Great people, Great Technology,” DB HiTek is pursuing a zero-accident and eco-friendly management policy in order to go from merely a “good” company to an excellent one, and hopes to grow with stakeholders through our endeavors together.

To this end, we have established and are operating Environment, Safety and Health (hereinafter ESH) standards above the level required by laws and regulations. In addition to strictly complying with local regulations, **we are also expanding on eco-management by advancing environmental management technology, reducing greenhouse gases, reducing waste, and increasing recycling.**

ESH Business Organization

DB HiTek has established and managed the ESH (Environment, Safety, Health) Management Manual, and operates the ESH management organization: the CEO takes overall responsibility for ESH management and oversees environmental, safety, and health-related tasks. Additionally, personnel responsible for ESH are appointed within dedicated ESH teams and departments to implement comprehensive ESH management activities throughout the company.



ESH System

Main activities of the ESH management organization

 Environment	 Safety/Fire service	 Health
Appropriate operation regarding air emission facilities and preventative facilities	PSM, Hazard Prevention Plan	Employee health management
Proper handling and education of hazardous chemicals	Risk assessment and safety work permits	Evaluation and management of work environment
Monitoring of greenhouse gas emissions and reduction	Workplace environment management (Lighting, entrapment, cuts, falls, entanglement, etc.)	Assessment of cerebral cardiovascular risks
Appropriate operation of wastewater discharging facilities	Emergency evacuation training	Examination of musculoskeletal risk factors
Consistency and compliance with other miscellaneous environmental regulations and permits	Safety management of partner companies and laboratories	Monitoring of health management

ESH System

Eco-friendly management policies

ESH Policy

Based on the corporate philosophy of being a "good company" and the vision of "Great people, Great Technology," DB HiTek is committed to adhering to the ESH (Environment, Safety, and Health) policies and continuously pursues its improvement through repeated inspections in order to provide sustainable management services to its customers and stakeholders.

1. Environmental, Safety, and Health Management

DB HiTek operates a world-class environmental, safety, and health management system by complying with international agreements and regulations. The company fosters a culture of environmental, safety, and health practices that promote employee well-being, prevent environmental pollution, recycle resources, manage risks, establish a green supply chain, and fulfill corporate social responsibilities.

2. Risk Management

Through environmental, safety, and health assessments, potential risk factors are identified and integrated into work procedures to eliminate factors that could impact employees and local communities.

3. Executive/Employee Obligations

All employees are required to adhere to environmental, safety, and health standards. The company cultivates a culture of environmental, safety, and health through regular training and provides an environment for sustainable living.

4. Eco-Friendly Product Manufacturing

DB HiTek minimizes environmental impact through eco-friendly product development and clean production systems, ensuring compliance with international agreements on hazardous substances and meeting customer requirements.

5. Green Supply Chain Operations

To achieve the company's environmental, safety, and health policy, suppliers and partners are expected to comply with this policy and cooperate in green supply chain operations.

6. Social Responsibility

DB HiTek transparently discloses its environmental, safety, and health management activities and contributes to the development of local communities.


December, 2022
Ki Seog Cho
President & CEO

Environment Management Policies & Objectives

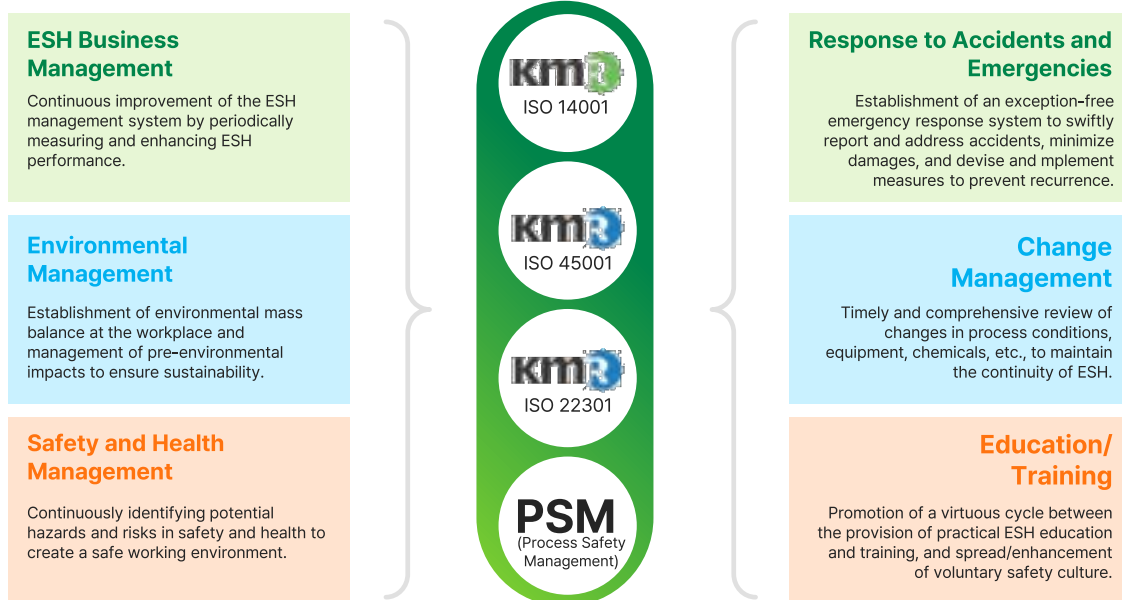
	Environment Management System Internalization & Reinforcement	Reinforcement of Environmental Risk Response Capabilities	Reinforcement of Eco-Friendly Activities
Strategic Direction	- Enhanced compliance response capability - Efficient operation of the ESH management system	- Raise environmental risk awareness - Environmental risk prevention	Active response in the field of ESG environment
Goal	Maintenance of ISO14001, ISO 45001, ISO22301 certifications	- Zero violations of safety and environmental laws - Enhancement of monitoring and response for fire protection facilities - Expansion of risk assessments	5% reduction in greenhouse gases compared to the average of the past two years - Over 99% waste recycling rate 8% reduction in hazardous chemical substance usage compared to the average of the past two years

ESH Operations and Performance

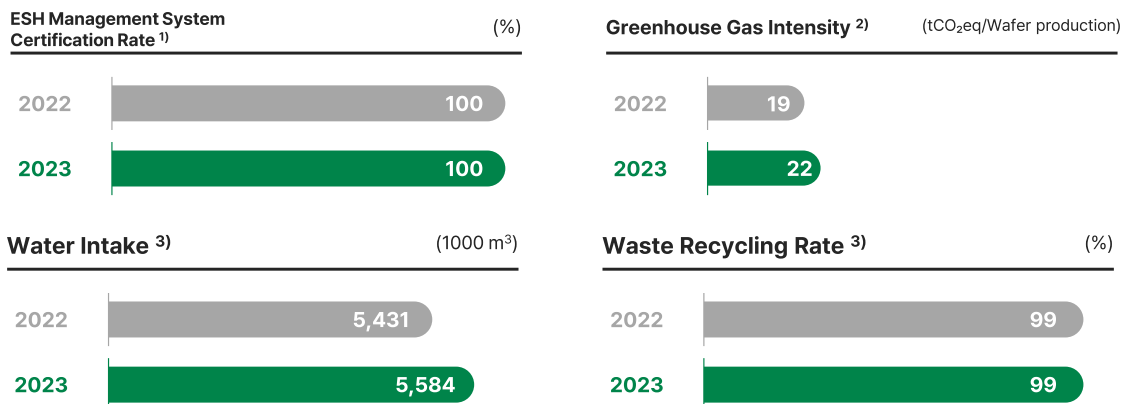
► ESH Business Management System

DB HiTek has established and complies with the "Environmental Safety Policy" for the consistent and unified management of ESH, while also deducting the major factors covering the contents of ISO14001, ISO 45001, and PSM evaluation standards and managing such factors as the operation elements and performance index of our ESH activities. In 2023, we have established the Business Continuity Management System (BCMS; ISO 22301) to build corporate resilience.

ESH Business Management System Operation Elements



Key Performance Index in the ESH Sector



1) Subject to: ISO14001, ISO 45001, ISO22301

2) Total emissions ÷ wafer production (EA)

3) Total recycled amount ÷ generated amount

ESH Operations and Performance

Participation of RBA Initiative, Deployment of ESH Improvement Activities

2023	Commitment to RBA Code of Conduct by partner companies and implementation checks, participation in eco-friendly product certification and the demand response (DR) program
2024	Establishment of KPIs for Department Heads (Production Department/Management Support Office) and C-level executives (CFO), including establishment of RBA (strengthening initiative activities) and expansion of eco-friendly purchasing

Implementation of Environment Management Education

Hazardous Chemicals Education

To promote safety awareness among all personnel engaged in the handling of hazardous chemicals at the workplace, education is provided on the characteristics of chemical accidents and initial response measures in case of emergencies.

Classification	Subject	Bucheon (completed person /required person)		Sangwoo (completed person /required person)	
		2022	2023	2022	2023
Hazardous Chemicals Education	Training of manager (16 hours/biennial)	1 / 1	1 / 1	3 / 3	3 / 3
	Training of handler (16 hours/biennial)	113 / 113	102 / 102	110 / 110	81 / 81
	(2 hours/yearly)	1,697 / 1,697	1,527 / 1,527	1,017 / 1,017	1,096 / 1,096

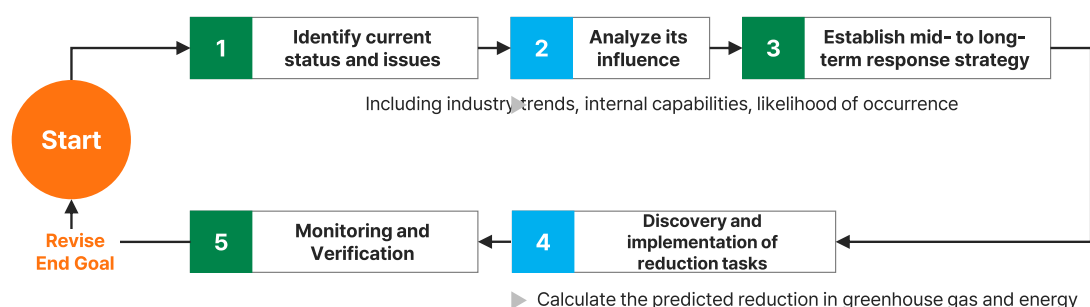
Chemical Substance Education

Through chemical safety education, personnel are educated on chemical management status, response measures in case of chemical exposure, and other safety aspects to enhance safety awareness.

Classification	Subject	Bucheon (completed person /required person)		Sangwoo (completed person /required person)	
		2022	2023	2022	2023
Chemical Subst ance Education	New Employee (including MS)	235	185	165	72

Response to Climate Change

DB HiTek makes every effort to minimize greenhouse gas emissions to minimize its effects on our planet. Global climate change trends and policies, as well as their **impact on the company, are continuously monitored** and **reflected in our mid- to long-term response strategies**. Our ESH department encourages the discovery of greenhouse gas reduction tasks **optimized for the semiconductor manufacturing process**.



► Greenhouse Gases Emissions

The emission of DB HiTek's greenhouse gases is divided into direct emissions, in which process gases are used for the semiconductor cleaning process, and indirect emissions from electricity use. In accordance with the greenhouse gas reduction goal, the usage and emission of process gases are continuously being reduced, and therefore the proportion of direct emissions is decreasing despite the increase in production.

(Unit: tCO₂eq, tCO₂eq/Wafer production)

Classification	2021	2022	2023
Quantity of Greenhouse Gases Directly Emitted (Scope 1 ¹⁾)	109,347	106,657	88,625
Quantity of Greenhouse Gases Indirectly Emitted (Scope 2 ²⁾)	175,053	179,465	182,823
Total Quantity of Greenhouse Gases Emitted ³⁾	284,400	286,122	271,448
Target greenhouse gases emissions ⁴⁾	287,307	287,157	287,198
Greenhouse gas intensity	19	19	22

1) Fuel consumption (LNG), semiconductor process gas, etc. (including CO₂, CH₄, N₂O, PFC and SF₆)

2) Power consumption

3) Emissions verified through a third-party audit by a government-accredited institution (BSI Korea); verification for 2023 in progress

4) Greenhouse gas emissions allocated by the MoE (Ministry of Environment)

Response to Climate Change



► Greenhouse Gas Reduction Target

DB HiTek is actively promoting greenhouse gas reduction activities every year to participate in sustainable growth amid climate change.

► Works Regarding Greenhouse Gas Reduction

The semiconductor industry emits greenhouse gases such as perfluorocarbons (PFCs), sulfur hexafluoride (SF₆), and other GHGs during specific product manufacturing processes. DB HiTek evaluates and implements the conversion to gases with a low global warming potential (GWP¹), and likewise continuously researches and invests in replacing/introducing greenhouse gas emission reduction devices (POU Scrubber²) with more high-efficiency facilities. In addition, through the Greenhouse Gas Reduction TF and Green FAB TF, we are continuously discovering ideas for reducing greenhouse gas emissions and energy consumption in all processes. In particular, DB HiTek has been operating plasma scrubbers and actively participating in greenhouse gas reduction activities since 2019.

1) GWP (global warming potential): The degree of contribution of each greenhouse gas to global warming is expressed based on CO₂, meaning a lower value equates to a lower impact on global warming

2) POU (point of use) Scrubber: Primary treatment device for the treatment of waste gas emitted from semiconductor processes

Works Regarding Greenhouse Gas Reduction in 2023 – Operation of Plasma Scrubber

- **Name of equipment** Plasma scrubber
- **Producer** Jin System
- **Model** Plasma-04
- **No. of equipment** 20
- **Result of operation** 47,481 tCO₂³⁾



3) Predicted reduction in 2023

Response to Climate Change

► Participation in Client Company's RE100 Project

DB HiTek is actively participating in the RE100 project led by our client company and is committed to establishing a medium to long-term roadmap for greenhouse gas reduction and achieving carbon neutrality. The goal is to transition all power sources used in the production of customer products to 100% renewable energy by the year 2028, and DB HiTek will develop yearly transition strategies and investment plans to achieve this objective.

Electricity required for renewable energy conversion

Fab	Process	Classification	2024	2025	2026	2027	2028
Fab1	0.15um HV CMOS	Production (1000 pcs)	22	30	36	42	48
		Power consumption (kWh)	5,998,056	6,653,322	8,303,345	10,074,726	11,974,531

Renewable Energy Transition Plan

Classification	2024	2025	2026	2027	2028
Electricity (kWh) to be converted to renewable energy Target electricity (kWh)	5,998,056	6,653,322	8,303,345	10,074,726	11,974,531
Conversion Percentage Objective	Transition Plan Review	~50%			100%
Fulfilled RE100 (kWh)	-	-5,037,363			11,974,531
Renewable Energy Transition Plan	-	Green premium, REC purchase, etc.			

* The above renewable energy transition plan is subject to changes depending on requests from stakeholders, such as clients, and the company's management circumstances.

► DB HiTek Participation in the Korea Power Exchange's DR Project

In addition to participating in the RE100 program by the client company, DB HiTek is actively involved in the demand response (DR) program operated by the Korea Power Exchange to transition towards an environmentally friendly industrial structure through greenhouse gas reduction activities. The aim is to achieve approximately 600 kWh of power reduction by implementing measures such as shutting down cooling and air conditioning systems during electricity supply crises.

* Demand Response (DR): In situations where the power grid is undergoing an electricity supply crisis, the demand response (DR) program allows grid users to register their capacity to reduce power consumption with the power exchange. After undergoing verification tests to confirm this capacity, grid users can implement the reduction during electricity supply crisis situations.

Energy Management

► Energy Usage Management

DB HiTek operates a company-wide energy/cost reduction TFT, through which the company sets a target for energy conservation, while also continuously discovering ideas for reducing consumption through checking changes in energy consumption and reduction, and investing in such ideas with consideration to economic feasibility and expected reduction. In particular, we are increasing the eco-friendliness of our worksites by introducing eco-friendly, high-efficiency facilities (inverters, transformers, and boilers) for energy efficiency.

Classification	2021	2022	2023		2024 Goal
			Goal	Performance	
Power (MWh)	381,039	390,644	426,589	397,952	416,589
LNG (KNm ³)	2,472	2,676	2,589	3,036	3,184
Total Energy Use(TOE) *Intensity	89,956 *7.41	91,992 *5.51	100,327	94,174 *8.16	98,643

Total energy consumption from 2021 to 2023, verified by 3rd party (BSI Korea)
Energy Intensity: Total Usage (TOE)/Sales (100 million KRW)

► Energy Conservation

DB HiTek constantly conducts energy reduction campaigns to save energy used by employees, and such campaigns help make energy conservation efforts a daily routine, including the use of stairs, keeping PC on standby, and turning off office lights during lunchtime. In addition, we achieve energy reduction goals through regular repair and replacement of old facilities and equipment, replacing the lighting of the workplace with LEDs, and replacing outdated facilities with high-efficiency devices (inverters, transformers). We also continuously discover and improve the energy optimization for the utility/production process.

Bucheon/Sangwoo Plant Reduction Performance [2023]

Change to LED lighting

151,998 kWh

Reduction of power consumption

UT Usage Optimization

5,765 MWh

Reduction of power consumption

Production Process Optimization

6,582 MWh

Reduction of power consumption

Application of
High-Efficiency Equipment

154,695 KWh

Reduction of power consumption

Power Demand Management

269,534 kW

Reduction of power consumption

Fuel Usage Optimization

289,632 m³

Reduction of LNG consumption



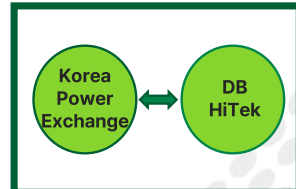
High-efficiency inverter



High-efficiency transformer



Change to LED lighting



Participation in Electricity Demand Response (DR) Project

Energy Management

Management Strategy and Works Regarding Reduction

DB HiTek classifies water consumption and wastewater treatment as important risks by taking into consideration the large amount of water used in the semiconductor manufacturing industry and is concentrating its capabilities on activities geared towards reduced water use and its reuse and recycling.



Analyze and monitor production volume and usage throughout the entire water quality management process



Works relating to risk reduction for emergency situations and response management for every risk scenario



The quality of the final effluent is strictly managed and is constantly improved for its coexistence with the surrounding ecosystem

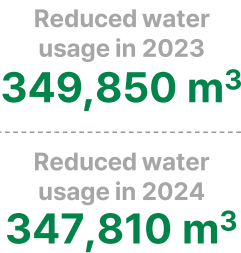
Classification	2021	2022	2023		2024 Goal
			Goal	Performance	
Water consumption (m³)	5,312,290	5,430,912	5,920,799	5,584,041	5,991,372
Reused water (m³)	471,585	515,940	522,246	522,246	527,894

Water intake by site (usage)	2021	2022	2023	2024 Goal
Fab1 (m³)	2,844,190	2,903,649	3,197,493	3,605,153
Fab2 (m³)	2,468,100	2,527,263	2,386,548	2,386,219

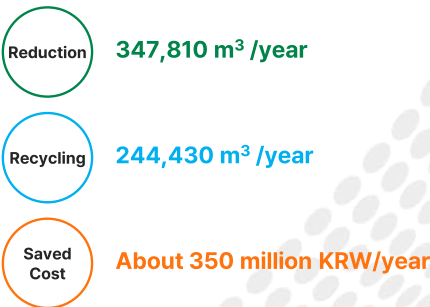
Water usage is continuously increasing in response to the growing product demand, and the characteristics of wastewater are changing. To this effect, we have established a Water and Wastewater Reduction Task Force (TF) to monitor the water consumption in large-demand areas such as production processes, air pollution prevention facilities, and processing equipment, while also devising and implementing measures to reduce consumption, such as adjusting process control parameters, changing wastewater treatment methods, optimizing operations, etc.

We are also maximizing the water recycling rate by working with structural improvements such as optimizing worksites and building recycling systems.

*Source: Industrial water (100%)



Effect of Use



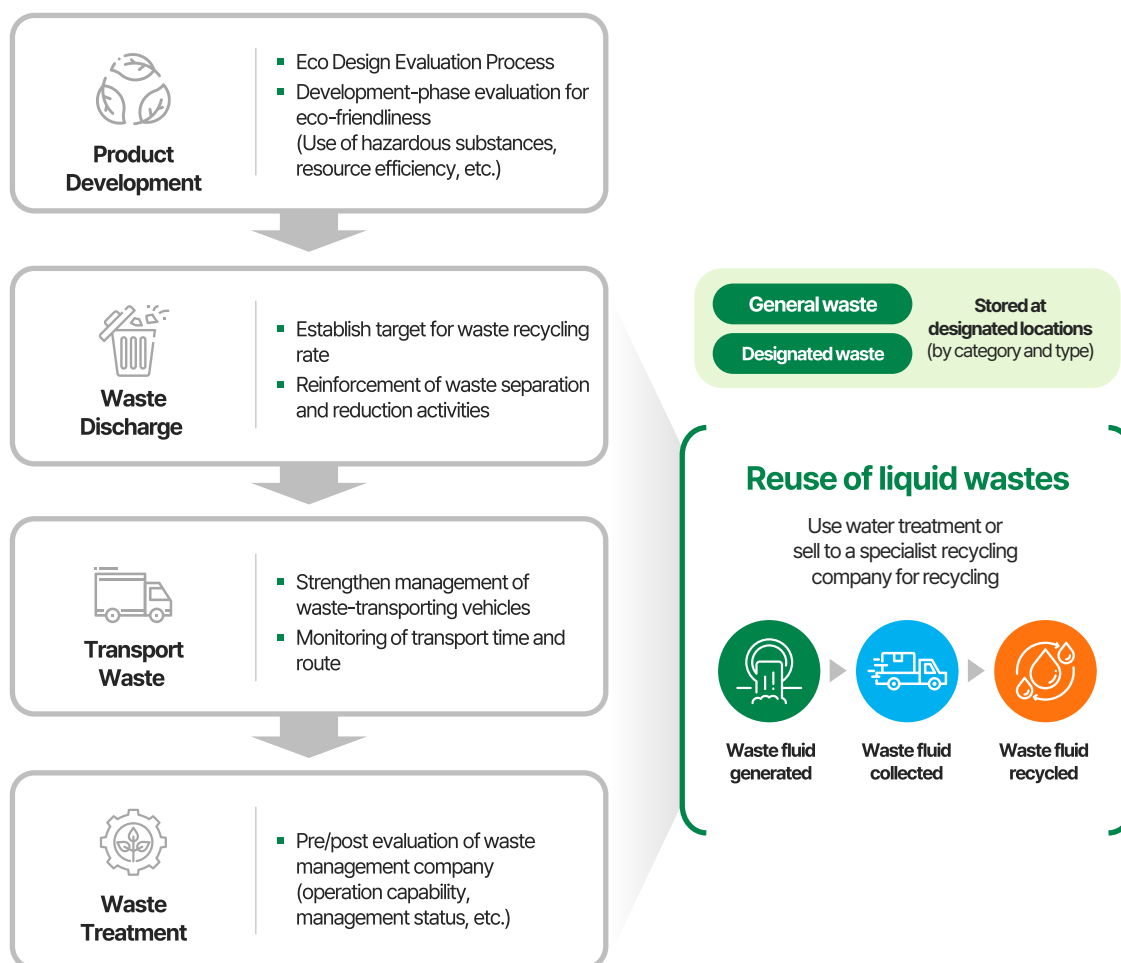
Greywater System (Recycling Facility)

Management of Waste and Pollutant-Chemical Substances

► Waste Management

In order to minimize waste generated during the manufacturing process, DB HiTek has established and is operating management plans for every process, from designing products with resource efficiency taken into consideration to newly developing manufacturing processes. As a result of inspecting the amount and recycling rate of generated waste, analyzing waste treatment methods, and exploring methods to increase recycling rates for worksites unable to meet their target, **our company has been able to achieve a 99% waste recycling rate in 2023.**

Our company conducts on-site pre-evaluation during the selection of business partners for safe waste disposal. Even after signing the contract, we check whether wastes are stored and disposed of according to environmental laws and regulations through written and on-site post-evaluation on a yearly basis. In addition, fire and safety inspections are carried out in order to check whether chemical wastes such as waste acids and waste organic solvents are safely managed. **By using the "Allbaro System," a legally approved waste disposal system, wastes generated and discharged from the company are managed safely until the very end of the process.**



Management of Waste and Pollutant-Chemical Substances

► Waste Management Performance

Waste Treatment and Recycling Rate (tons)									
Classification	2021			2022			2023		
	General	Designated	Total	General	Designated	Total	General	Designated	Total
Waste Treatment	7,540	1,781	9,320	7,717	1,598	9,316	8,852	1,317	10,169
Goal				6,806	1,628	8,435	7,260	1,515	8,775
Waste Recycling	7,510	1,707	9,217	7,717	1,529	9,246	8,852	1,252	10,104
%	99.6	95.8	98.9	100	95.7	99.2	100	95.1	99.4
Waste Incineration	23	74	97	0	69	69	0	60	60
Landfill	6	0	6	0	0	0	0	5	5

* Waste treatment targets for 2024: Total 9,410 tons; general 7,876 tons; designated 1,534 tons

► Management Performance of Waste and Pollutant/Chemical Substances

To minimize air pollutant and water pollutant emissions, DB HiTek has established and is operating enhanced internal management standards and systems (Air Quality Management Regulation, Water Quality Management Regulation) which are stricter than those provided for in laws such as the Clean Air Conservation Act and the Water Quality Conservation Act.

In particular, for certain substances such as sulfur oxides (SO_x), particulate matters, cadmium (Cd), and lead (Pb), DB HiTek has established internal management standards that are set to be stricter than the legally permitted limits, ensuring control levels below 20% of the legal standards.

Air pollutant emissions (tons)				
Classification	2021	2022	2023	
Nitrogen oxide(NO _x)	1.52	9.42	15.27	
Sulfur oxides (SO _x)	0.00	1.82	1.29	
Dust	4.28	4.99	4.10	

Water pollutant emissions (tons)				
Classification	2021	2022	2023	
COD	20.23	17.15	25.43	
TOC		29.33	42.72	
BOD	36.71	43.32	65.94	
SS	24.45	28.02	21.91	

Use of hazardous chemicals (tons)			
2021	2022	2023	
7,383.12	7,489.92	6,897.30	

Chemical pollutant emissions (tons)			
2021	2022	2023	
33.29	56.87	55.08	

Raw and Subsidiary Material Management

► Performance of Raw and Subsidiary Material Purchasing

Since 2021, DB HiTek has been disclosing the status of major raw material purchase amounts and ratios.

In 2023, the purchase amount for raw materials was 183.2 billion KRW, showing an increase compared to 2022. This rise can be attributed to factors such as increased usage due to the thriving semiconductor business and rising purchase prices caused by internal and external environmental factors.

(Unit: million KRW, %)

Classification		2021		2022		2023	
Raw Materials	Wafer	82,768	50%	116,425	55%	84,247	46%
	Chemical	40,780	24%	36,384	17%	32,131	18%
	Gas	10,893	7%	12,796	6%	9,508	5%
	Target	2,999	2%	2,812	1%	2,139	1%
	Reticle	23,530	14%	40,170	19%	51,555	28%
Subsidiary Materials	Others	6,130	4%	4,531	2%	3,631	2%
Total		167,102	100%	213,118	100%	183,210	100%

► Performance of Renewable Raw Material Use

DB HiTek uses silicon wafers (Si wafers) as the fundamental material for semiconductor production, as well as for various purposes such as equipment maintenance, management, and performance testing. Among them, test wafers are sent to external companies for recycling after use. Through a series of regeneration processes, including removing thin films and polishing the wafer surface, they are transformed into **recycled test wafers** that meet the required quality standards for reuse.

Test wafers are not suitable for producing semiconductor chips, but they are used to protect wafers during the production process or to test semiconductor equipment and other raw materials.

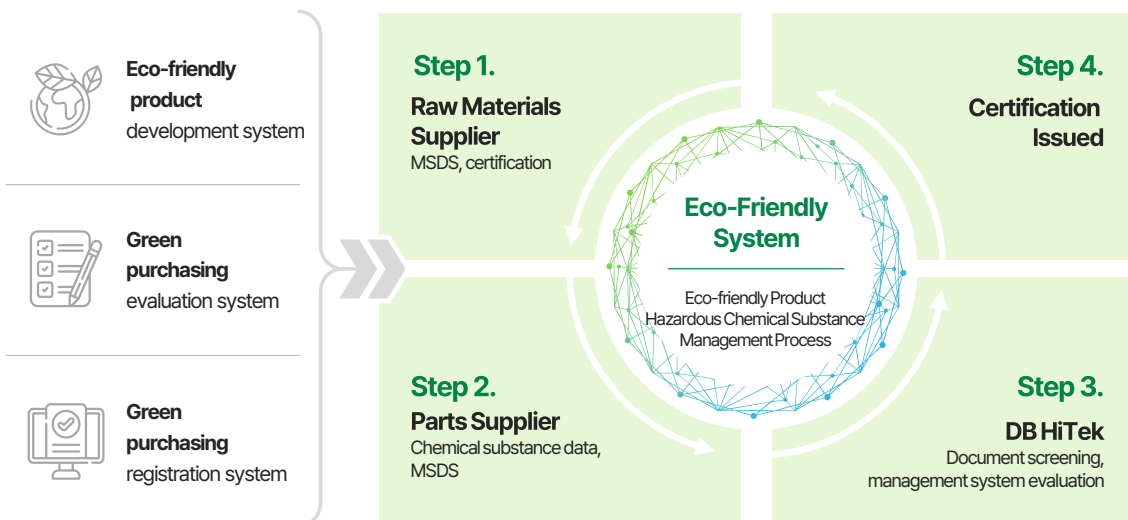
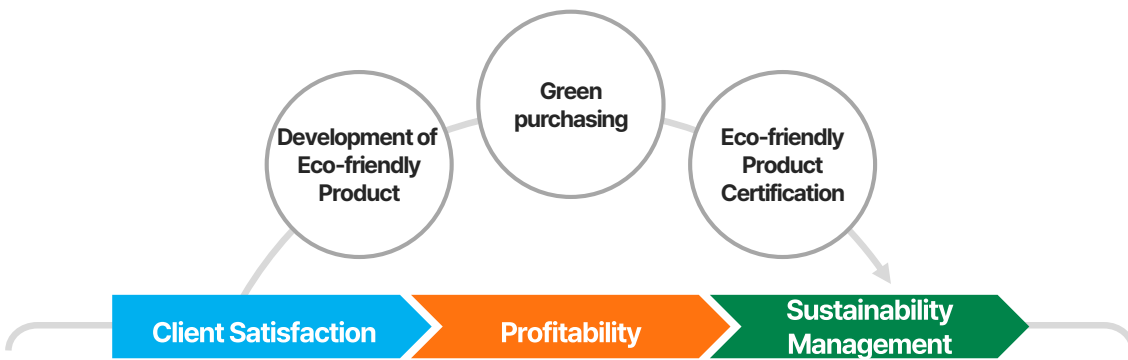
Classification	2021	2022	2023
Test Wafer Usage (pcs)	155,817	155,203	172,813
Renewable Test Wafer Usage (pcs)	66,867	67,550	66,900
Renewable Test Wafer Use Percentage (%)	42.9%	43.5%	38.7%

Eco-Friendly Product

► Eco-Friendly Product and Hazardous Chemical Management Process

While prioritizing quality, DB HiTek considers the environmental impact of the entire production process from raw material supply to the manufacturing process. With mid-term eco-management goals as a basis, our company **improves the energy efficiency and recyclability of the product and constantly reduces the use of hazardous materials through the management of an "eco-design process" and "eco-friendly product supply chain" in which the eco-friendliness of a product is evaluated** from its inception, design, and development phase.

Furthermore, DB HiTek's **Analog & Power Foundry Wafer** has obtained the **Korea Environmental Product Declaration Label** from the **Korea Environmental Industry & Technology Institute** affiliated with the **Ministry of Environment**. In the case of new and currently produced products, exposure to hazardous substances is monitored throughout the entire process, from the purchase of raw materials to the production and shipment of products. The final product is issued a certificate from an accredited institution every year before being sent to the customers.



Eco-Friendly Product

► Worksite Chemical Substance - ESH Pre-Evaluation System

DB HiTek operates an ESH pre-evaluation system to comply with chemical substance-related laws and to ensure its safe management and handling. The ESH pre-evaluation applies to all changes in the use of chemicals (new substance/reviews for change) and is a system evaluating all categories of environment, safety, and health.

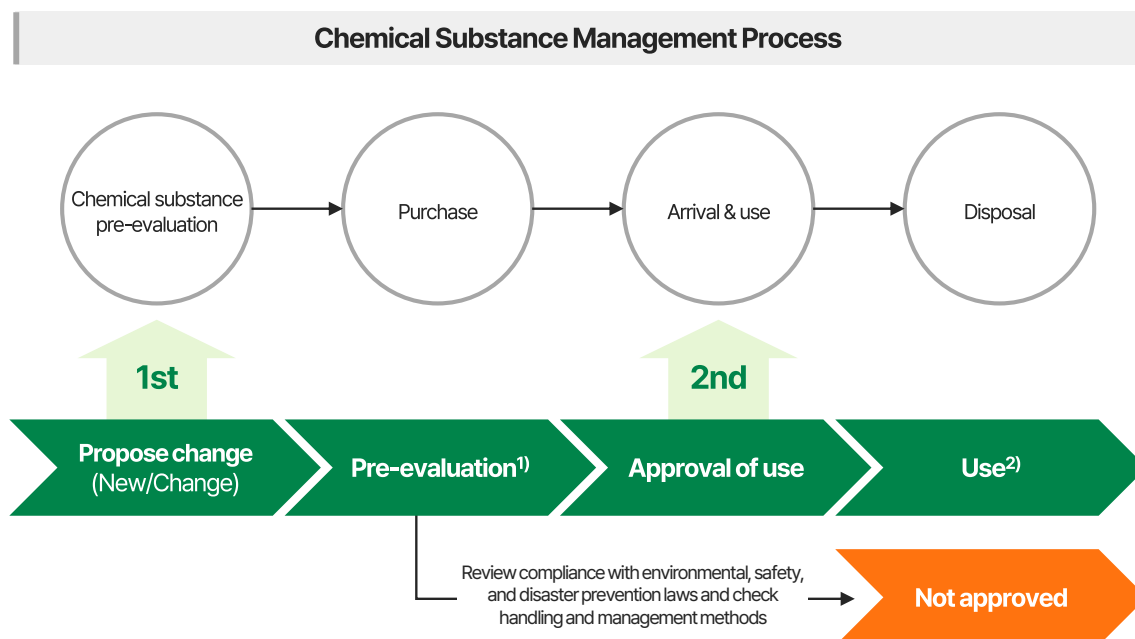
Use is permitted through a thorough review of the substances on matters of domestic and foreign laws regarding the control and restriction of the substance, any risks associated with the exposure to the environment, and any handling-related precautions.

Additionally, we are incorporating a procedure to check for less harmful or non-harmful alternative chemical substances for greenhouse gases, ozone-depleting substances, and hazardous materials into the ESH chemical substance pre-evaluation process.

The ESH pre-evaluation is conducted twice per substance, from the time of recognizing the proposed change and at the time of executing such proposal when the actual chemical substance is delivered. This is aimed at establishing a safe workplace by narrowing the gap between the documentation provided by suppliers during the pre-evaluation and the actually delivered substances, thereby minimizing the risks associated with the change and use of chemical substances. **DB HiTek will continue to be a safe and reliable company by strengthening the level of chemical management such as ESH pre-evaluation.**

► Monitoring of Chemicals in Products

All DB HiTek worksites are obligated to comply with EU RoHS (Restriction of Hazardous Substances Directive in Electrical and Electronic Products) and EU REACH (European policy on Registration, Evaluation, Authorization and Restriction of Chemicals similar to The Act on Registration and Evaluation, etc. of Chemicals in Korea), thereby regulating the substances used internally and by our partner companies.



1) In accordance with MSDS(Material Safety Data Sheet), chemical specification sheet, etc.

2) Management and registration in chemical substance management system

Eco-Friendly Product

In February 2023, DB HiTek's analog and power foundry wafer obtained the Korea Environmental Product Declaration Label (for low-carbon products) from the Korea Environmental Industry & Technology Institute, which is affiliated with the Ministry of Environment. Going forward, we will continue to do our utmost to increase the sales revenue and market share of eco-friendly products.

Eco-Friendly Product Sales

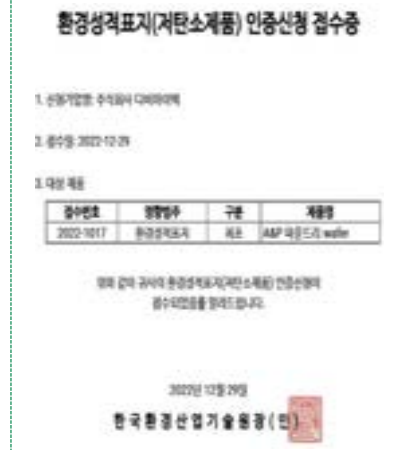
(billion KRW)	2023
DB HiTek Total Sales	1,154
Eco-friendly Product Sales (Analog & Power Foundry Wafer)	319
Percentage (%)	28%

※ Eco-friendly Sales Calculation Criteria: Total sales of the Analog & Power Foundry Wafer products certified with the Korea Environmental Product Declaration Label (low carbon product)

※ Percentage (%): Eco-friendly product (Environmental Product Declaration Label) sales ÷ total sales

Eco-Friendly Certification

ISO14001 Environmental Management System Certificate	Environmental Product Declaration Label (low carbon product) Certification
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Eco-Friendly Product

DB HiTek is **reducing carbon emissions** through eco-friendly purchasing activities (an investment of approximately 9 billion KRW), including the replacement of dry pumps and chillers used in semiconductor production processes with energy-efficient products, **thereby reducing electricity consumption. We will continue to explore additional items for further reduction while also developing and expanding the purchase of eco-friendly items for raw and subsidiary materials, including gases, etc.**

► Carbon Emissions Reduction Performance

Dry Pump					
Classification	Power consumption (kWh/unit)			Yearly reduction (unit)	
	Existing pump	Low-power pump	Difference	Power (kWh)	Carbon emission (tCO2)
Pump 1	3.4	0.6	2.8	24,528	11.6
Pump 2	2.0	0.6	1.4	12,264	5.8
Classification (2020 - 2023)		Pump 1	Pump 2	Total	
Number of new low-power pumps		184	72	256	
Power consumption reduction (kWh)		4,513,152	883,008	5,396,160	
Carbon emission reduction (tCO2)		2,121	415	2,536	

* Carbon emission factor = 0.0004747tCO2/kWh

* Number of low-power pumps introduced by year: 2020 - 60 units, 2021 - 34 units, 2022 - 100 units, 2023 - 62 units
(Plan: about 100 units from 2024 onwards)

Chiller					
Classification	Power consumption (kWh/unit)			Yearly reduction (unit)	
	Existing (freezer) chiller	Low-power (electric) chiller	Difference	Power (kWh)	Carbon emission (tCO2)
Chiller 1	36	8	28	245,280	116.4
Chiller 2	13.3	8	5.3	46,428	22.0
Classification (2020 - 2023)		Chiller 1	Chiller 2	Total	
No. of new low-power (electric) chillers		23	71	94	
Power consumption reduction (kWh)		5,641,440	3,296,388	8,937,828	
Carbon emission reduction (tCO2)		2,651	1,549	4,201	

* Carbon emission factor = 0.0004747tCO2/kWh

* Number of low-power pumps introduced by year: 2020 - 2 units, 2022 - 17 units, 2023 - 75 units

► Eco-Friendly Purchasing Performance

Classification (million KRW)	2020	2021	2022	2023
Eco-friendly (low-power pump/chiller) purchase amount	10	5.3	20.7	41.0

Responsible Supply Chain

DB HiTek is seeking shared growth with partner companies of various fields based on the philosophy, "the competitiveness of partners is the competitiveness of DB HiTek." **We are building a stable, sustainable, and responsible supply chain seeking mutual development with all suppliers.**



Management of Supply Chain Sustainability

DB HiTek has established the "DB HiTek Code of Conduct" based on the guidelines of the Responsible Business Alliance (RBA) to ensure responsible business practices. In addition, DB HiTek has also formulated and distributed the "DB HiTek Supplier Code of Conduct" for its partner companies. DB HiTek actively and continuously encourages its partner companies and their executives and employees to fulfill their corporate social responsibilities. DB HiTek requests compliance with the "DB HiTek Supplier Code of Conduct," and receives the Self-Assessment Questionnaire (SAQ) for monitoring.

* SAQ submission once per year: 55 out of 57 major partners in 2024 (response rate: 96%)

New Partner Company Selection Method

In order to develop an optimal supply system, DB HiTek strives to find excellent partners and promote quality improvements through a transparent and fair process. For a new supplier to be registered, the necessary information needs to be listed in the integrated purchase management support system for each type of supplier, after which the supplier must pass the examination regarding matters of credit rating/ technology/ quality/ price/ delivery date, etc.

Supplier Evaluation and Management

(Once per year, quality/environment/purchase area)

DB HiTek conducts regular evaluations to build a more robust and sustainable supply chain. Once a year, the quality/environment/purchase departments analyze and evaluate the process quality/environmental system/technology/credit rating of partner companies in various fields.

In 2023, a total of 39 suppliers were evaluated for five competencies: financial capability, cooperation, delivery flexibility, quality management, and environmental practices. We continue to promote responsible supply chain management through regular supplier monitoring and due diligence.

Supply Chain Risk Management

DB HiTek identifies risk factors in the supply chain in advance and continuously improves and manages such risks to enhance the sustainability of the entire supply chain. To effectively manage major risk factors, we operate an IT-based risk management system and plan to continuously advance this risk management system.

Open Sourcing

DB HiTek operates an open-sourcing system for cost-competitive companies with excellent technology. For a transparent and fair process, the entire process from the reception of a product and/or technology, evaluation, to the application is shared with relevant departments.

ESH Management of Partner Companies

DB HiTek has established and implemented various support measures based on mutual trust to promote shared growth with its partner companies (suppliers). Support measures can be divided into two categories: technical support and educational support. In the case of technical support, technical advice is provided for each equipment unit/category (water quality, air) unit. For educational support, training programs for ESH compliance and safe workplaces are operated.

Supplier Sustainability Management Process (P-D-C-A cycle)



For sustainable growth with its partner companies, DB HiTek conducts ESH evaluation in consideration of **1) transaction size, 2) transaction performance, 3) ESH evaluation result, and 4) level of sustainable management**. The quality/purchase departments join in the annual ESH evaluation of the supplier, and new suppliers must meet certain criteria to register as a supplier such as credit rating, due diligence of ESH, use of hazardous substances, etc. Regular ESH evaluation is conducted only for registered partner companies, and the evaluation results are reflected in future contracts and education. Categories for the EHS evaluation include: management of ESH management system, hazardous chemicals, and raw materials. Also included for evaluation are management regarding education and training, internal auditing performance, and the establishment and implementation of emergency action plans. If deemed necessary, on-site evaluation with written reports shall also be conducted. Furthermore, for internal partner companies, we conduct **annual inspections and evaluations based on the Internal Audit Procedure and Partner Company Management Procedure**. This includes monitoring the status of PSM implementation, disaster management, ESH audits, implementation of safety education, and safety improvement activities (2023 evaluation of 9 companies: 12 recommendations made, with 58 additional corrections), and incentives are provided based on the evaluation results on a differential basis.

Three high-risk partner companies, in terms of health and safety, are mandatorily managed under the subcontractor approval system of the Ministry of Employment and Labor. In 2023, we have enhanced our management system by adding seven more companies, along with the re-approval of the existing companies.

ESH Management of Partner Companies

DB HiTek is doing its utmost to establish a safety and health management system through a symbiotic consultation commission with partner companies and to improve self-management capabilities.

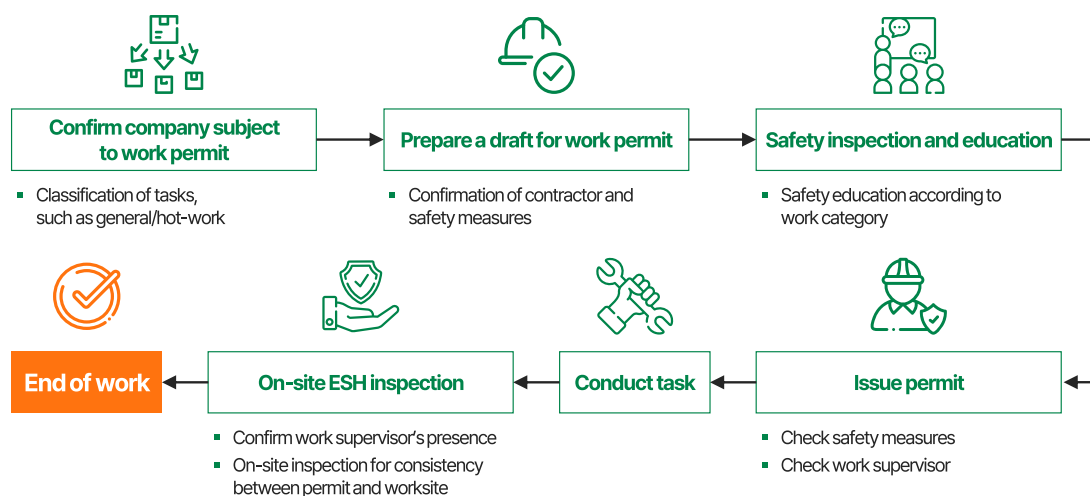
Through regular meetings with representatives and working-level managers of each company, safety, and health trend discussions, sharing of legal revisions and external accident cases, raising safety awareness (safety education, quarterly joint safety inspection), on-site management (work procedures, work permits, protective equipment, facilities, etc.), improvement to the work environment, health check-up and promotion programs, and ESH support operations for risk assessment accreditation are being conducted. In addition, **by supporting risk assessment and improvement operations to identify potential risk factors that workers of subcontractors may be exposed to in each task and process, such risk factors for workers of subcontractors shall be eliminated, supporting work in a safer and more comfortable environment.**

ESH Support Activities by Partner Companies (2023)

Classification	Bucheon	Sangwoo
Regular Commission	12	12
Safety Education	305 persons	188 persons
Improvement of Work Environment	185 cases	108 cases
Support for Medical Check-Up	299 persons	170 persons
Risk Assessment Recognition(Excluding non-applicable cases)	7 companies	6 companies

DB HiTek establishes standards and plans and operates to ensure that construction (work) is carried out in a safe working environment for partner companies. In particular, when performing high-risk work for facility remodeling and repair work, relevant safety education is mandated in accordance with the work procedure, and protection of workers and facilities from potentially harmful and dangerous factors through risk assessment is prioritized at all times.

Procedure for Work Permit of Partner Company



ESH Management of Partner Companies

DB HiTek holds regular monthly meetings with partner companies through a commission to share key health and safety management updates and discuss matters related to the enactment and revision of related laws and regulations. Since 2012, as part of our parent company's effort to enhance social responsibility in terms of health and safety, we have established a co-prosperity council to ensure the health and safety of internal partner companies. In addition, we have developed and implemented a health and safety mutual cooperation program.

DB HiTek records the performance of participating companies annually through the Korea Occupational Safety and Health Agency. By 2023, we have enhanced the level of risk assessment across all work processes for all internal partner companies (7 companies, excluding non-applicable cases), becoming certified as an excellent workplace for risk assessment.

DB HiTek will **continue to take the lead in promoting prevention for occupational accident activities by establishing and implementing a joint cooperative safety and health cooperation program with partner companies to improve safety and health at the workplace through conducting risk assessment and technical support operations for our partners.**

► Evaluation of Partner Companies' ESH

Based on the supplier evaluation form of the Partner Company Management Procedure, DB HiTek conducts an annual environmental management risk assessment, covering three categories (system management, chemical substance management, and raw material management) across 23 items for key partner companies.

Classification	2021	2022	2023
No. of Evaluated Companies	35	36	39
Average Score (out of 100)	95.7	94.7	99.3

* Assessed companies: Top 90% of wafer, chemical, gas, target, mask purchases

System Management (8 items)	Establishment of standardized regulations and procedures, managing organizations Establishment of internal audit regulations and audit plans, etc.
Chemical Substance Management (9 items)	Assessment/guarantee of compliance with environmental regulatory standards Management of industrial accidents and incidents, etc.
Raw Material Management (6 items)	Criteria for determining non-conforming products and hazardous substances Prevention of shipment of non-conforming products containing hazardous substances, etc.

Risk Assessment Certificate of Partner Companies

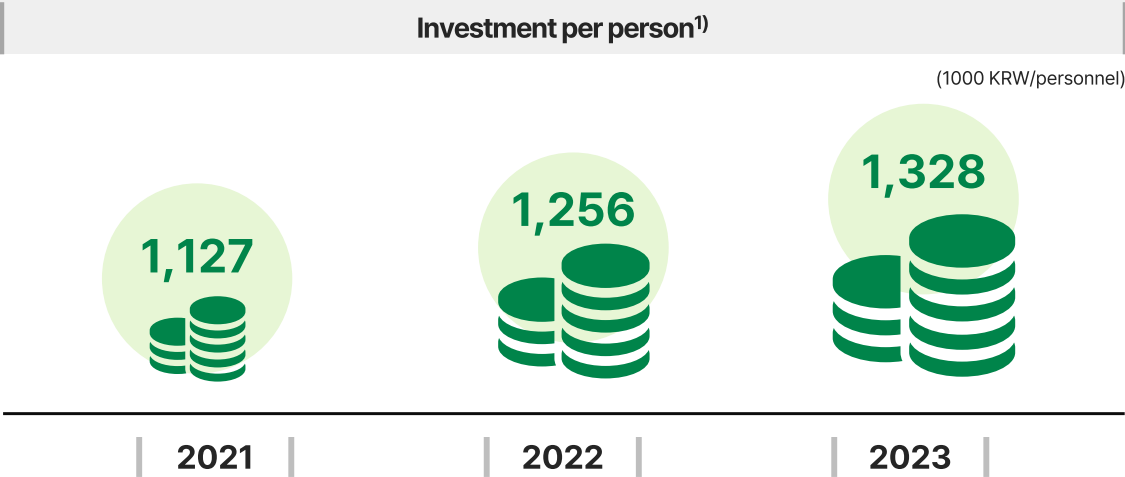


Fostering Semiconductor Specialists

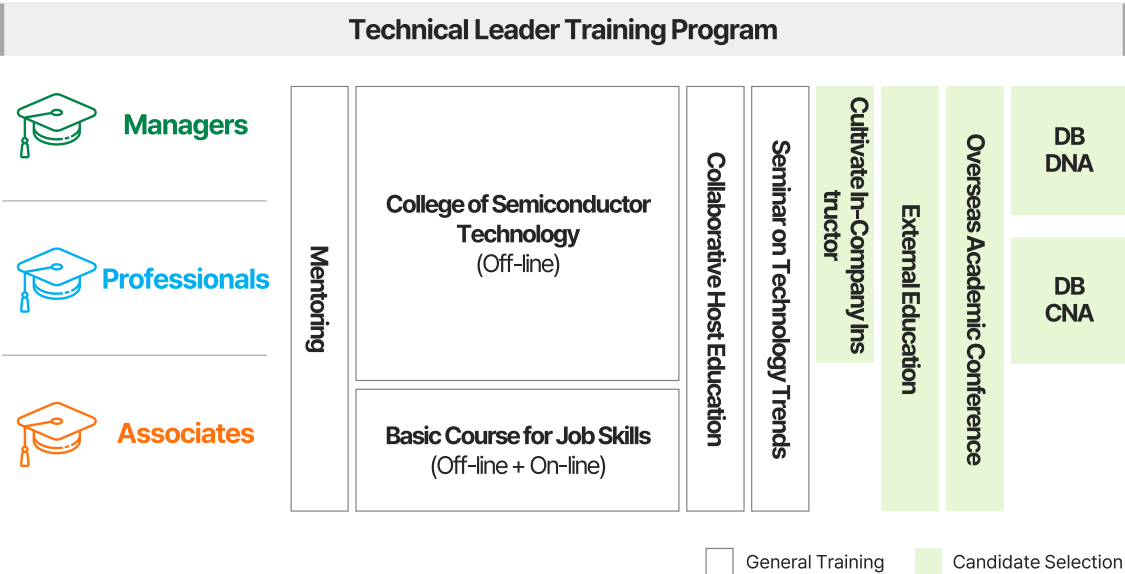
As a semiconductor company, enhancing the job-related technical competencies of employees is a crucial factor directly linked to the company's performance. DB HiTek **provides various training opportunities to its employees and strives to foster the best experts in each field.**

We operate various training programs for each position and concentrate on cultivating leaders with technical expertise. Associates receive support through deliberate advancement facilitated by the company and its organizational initiatives, aimed at fostering the timely acquisition of essential knowledge and skills. Professionals and managers are offered a specialized training program with the objective of nurturing technical leaders possessing problem-solving capabilities in their respective fields, thereby encouraging voluntary learning.

In 2024, to secure next-generation technology and foster specialists, we have been conducting education programs targeting 390 participants in 9 courses consisting of technical lectures and seminars, 370 participants in 6 courses consisting of semiconductor specialist training, and 380 participants in 13 basic job-related online and offline courses and basic technical courses.



1) Total training cost current year/No. of technical office personnel at the end of the year

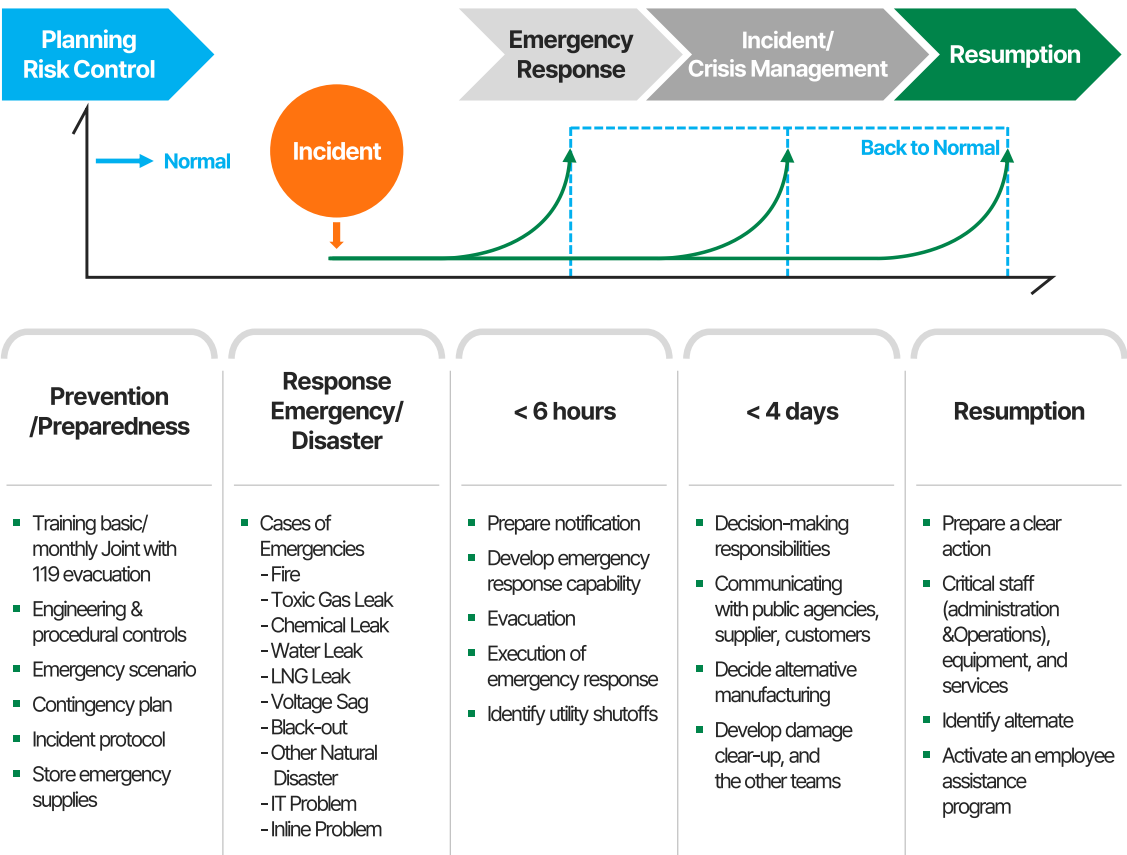


Risk Management

DB HiTek is striving to proactively and preemptively respond to and systematically manage risks, as uncertainty and various risk factors are increasing within the rapidly changing global business environment. DB HiTek seeks to minimize management risks by integrating and managing various risk factors and crises that may inhibit achieving the business goals of the company. Through its effective risk management system, the committee shall create, maintain, and develop a foundation for sustainable growth.

► Business Continuity Management (BCM)

DB HiTek enacts various measures to proactively mitigate the effects of environmental, social, and facility risks including extreme weather conditions, natural disasters, regional terrorism, and infectious diseases. We have established and are operating a business continuity management (BCM) system to minimize damage in the event an incident occurs and to shorten the time required to return to normal operations after its resolution. This ensures that products and services promised to customers are supplied in a timely manner. Based on our BCM certification, we review and maintain the operating system annually.





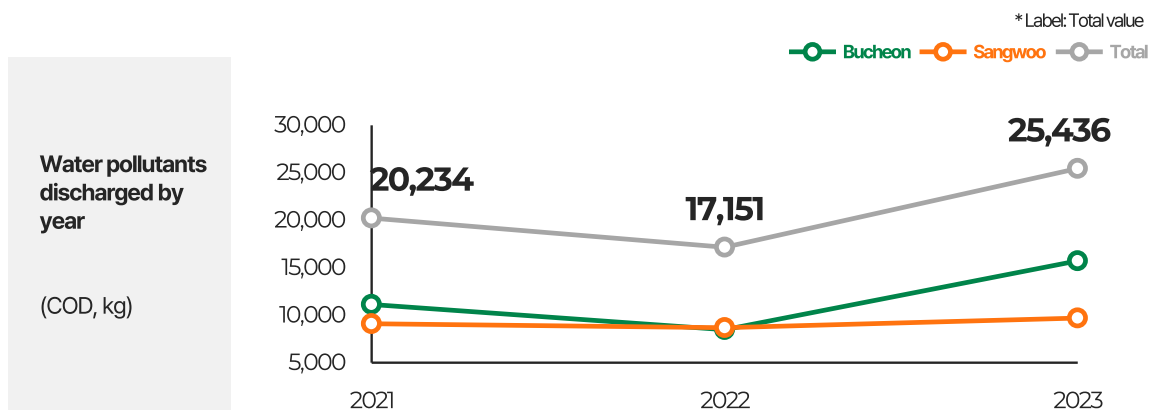
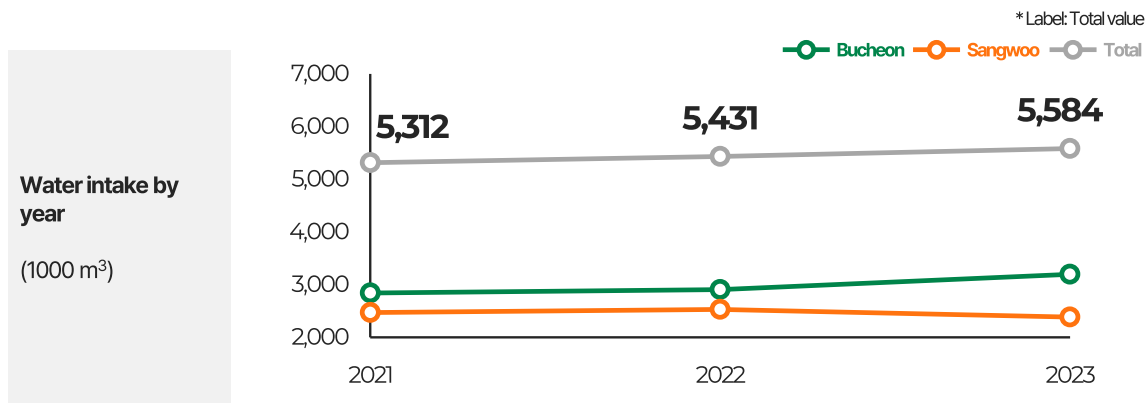
Appendix

Key Performance Indicator for ESG Management	67
Materiality Analysis	71
SASB Index	73
GRI Standards	74
UN SDGs Index	76
Third Party Assurance	77
Code of Conduct	80
About This Report	91

Key Performance Indicator for ESG Management

▶ Water Quality Management

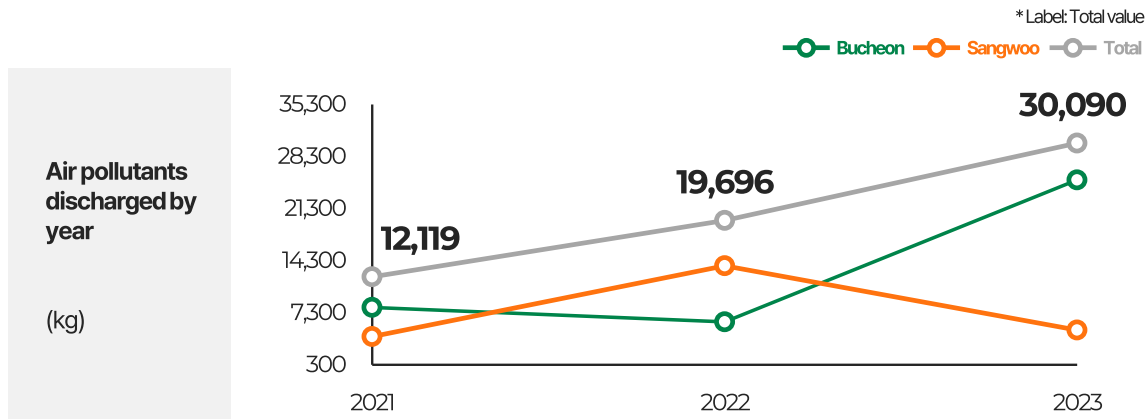
DB HiTek focuses on managing water pollutants by conducting environmental reviews at times of change such as the introduction of new equipment, process changes, transportation of existing equipment, and more in order to reduce water pollutant emissions. In addition, an in-company standard stricter than legal requirements is established and maintained through the TMS (Tele Monitoring System), an automatic monitoring system for effluent quality.



Key Performance Indicator for ESG Management

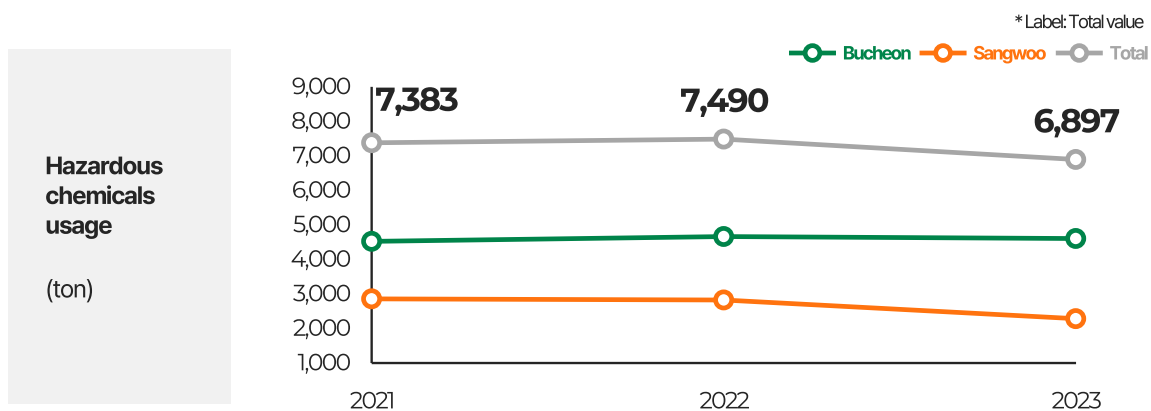
► Management of Air Quality

DB HiTek minimizes the impact on the air quality by establishing and maintaining an in-company standard stricter than legal requirements, implementing the optimal treatment method for exhaust gas generated from the semiconductor manufacturing process in consideration of the characteristics of the exhaust gas: wet, oxidized, adsorbent, etc. In addition, substances that deplete the ozone layer as stipulated in the Montreal Protocol are eliminated, and the use of halon fire extinguishing facilities is prohibited under the internal regulations; instead, we have adopted alternative fire extinguishing agents for new and modified facilities.



► Management on the Use of Hazardous Chemicals

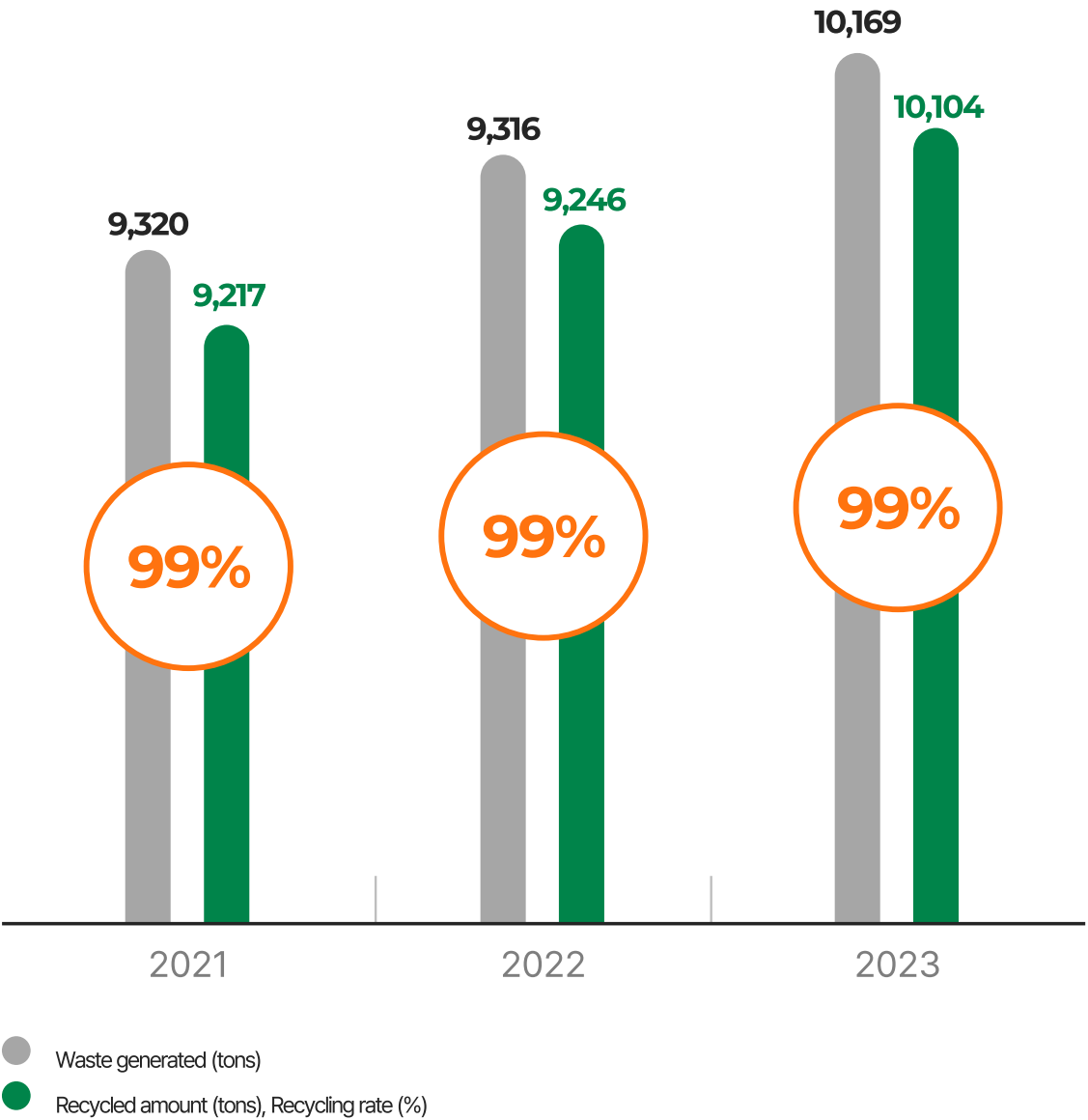
DB HiTek strives to reduce pollutant emissions by continuously reducing the number of hazardous chemicals used through the improvement of processes and optimization.



Key Performance Indicator for ESG Management

► Waste Discharge and Recycling Rate

DB HiTek aims to reuse waste through waste separation and operation of a parts recycling center. Also, we strive to continuously reduce the amount of waste per unit by identifying and addressing on-site problems. Our company is making active efforts to introduce new recycling technologies so that the waste generated by our company can be recycled as new resources rather than as discarded waste. We share our methods of technical support and environmental management techniques through regular evaluation and education with waste treatment companies.



Key Performance Indicator for ESG Management

► Management System for Environmental Law

DB HiTek monitors domestic and international environmental regulations, agreements, and customer requirements and shares this information with employees through the intranet to ensure compliance with environmental laws. Moreover, the company has established internal regulations to facilitate continuous monitoring of requirements and updates and adheres to them accordingly.

Internal regulations for compliance with domestic and international laws, agreements, and customer regulations and requirements

6.4.4 ESH Domestic and International Laws, Agreements, and Customer Regulations Compliance Requirements

6.4.4.1 Overview

- 1) This section describes the identification, registration, and application of domestic and international laws, agreements, and customer regulations that DB HiTek shall comply with.
- 2) The identified domestic and international laws, agreements, and customer regulations shall be used when making significant environmental impact decisions, conducting risk assessments, and setting ESH objectives and targets. The implementation of such requirements shall be carried out by the departments related to domestic and international laws, agreements, and customer regulations.
- 3) Relevant company regulations: Management of ESH Law Registration and Management Regulation

6.4.4.2 Identification, Registration, and Application of Domestic and International Laws, Agreements, and Customer Regulations

- 1) The ESH operating manager shall receive, identify, and register all domestic and international laws, agreements, and customer regulations applicable to the operational activities, products, and services from an ESH perspective, and keep them up to date.
- 2) The registered domestic and international laws, agreements, and customer regulations related to ESH may be confirmed through the ESH department, and all relevant departments shall ensure compliance with such requirements through the establishment and revision of relevant internal regulations.

- Excerpt from DB HiTek ESG Management Manual -

Details of Management Law

[Water Quality] Water Environment Conservation Act

[Air] Clean Air Conservation Act

[Waste] Waste Control Act

[Hazardous Substance] Chemical Substances Control Act

[Noise/Vibration] Noise and Vibration Control Act

[International Environmental Regulations] REACH*

[International Environmental Regulations] RoHS**

*REACH: Registration, Evaluation, Authorization and Restriction of Chemicals, Regulations on chemical substance management that require registration, evaluation, permission, and restrictions for all substances manufactured/imported in an amount of 1 ton or more per year in the EU according to the amount of manufacture/import and risk

**Restriction of Hazardous Substances, Directive enforced in the EU to restrict electronic products and appliances using harmful substances (lead, cadmium, mercury, hexavalent chromium, brominated flame retardants)

► History of Environmental Law Violations

Classification	2021	2022	2023
Legal Violations Relating to Environmental Law	0	0	0

Materiality Analysis and Core Issue

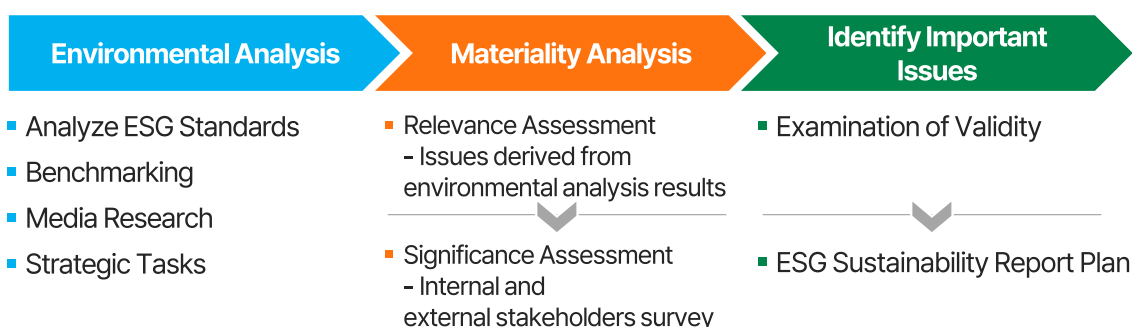
For the company's sustainable growth, **the strategic management of issues in various economic, environmental, and social fields is the key**. DB HiTek identifies and responds to issues associated with business-related sustainability management. In order to transparently communicate with stakeholders, the following material issues are analyzed and disclosed in the ESG Sustainability Report.

First, an issue pool is formed based on such indicators as domestic and foreign media feedback, industry benchmarking, global sustainability management standards and initiatives, and expert opinions. Afterward, the prioritization of such issues is determined by comprehensively considering the impact on stakeholders and the company's business in its economic, social, and environmental aspects. The major issues that are derived are actively addressed through annual response plans and mid- to long-term plans. These plans are then utilized as major tools for sustainable management growth.

► Materiality Analysis

Matrix diagram for 30 major issues.

Consideration of financial impact on the company versus external environmental and social impact by the company.



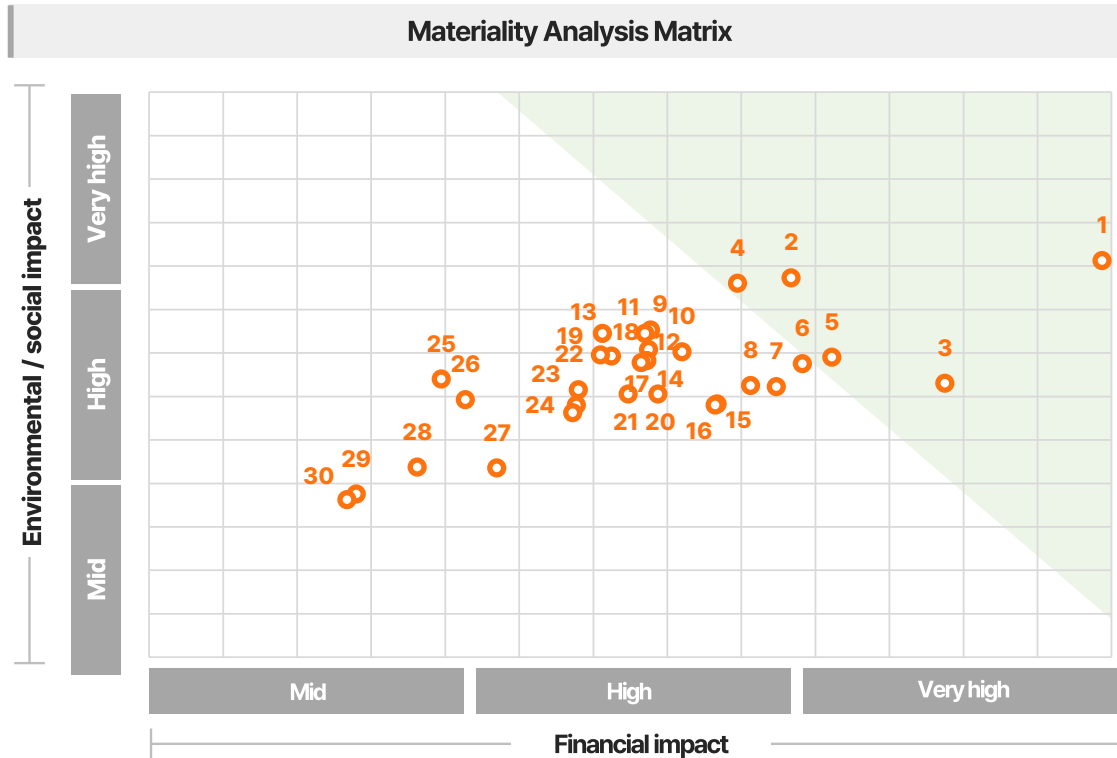
* ESG standard analysis: Referencing domestic and international ESG evaluation standards such as GRI 2021, ISO 26000, UNSDGs, SASB, TCFD, and KCGS

*Internal and external stakeholders survey:
April 22 (Monday) to April 26 (Friday), 2024; consisting of 259 internal and external stakeholders

The following issues have been selected by DB HiTek as 6 material issues in its business to be included in the ESG Management Report:

Order	Issue
1	Enhancing product and service quality
2	Reinforcing workplace safety
3	Securing exceptional manpower
4	Managing chemical substances
5	Enhancing information security
6	Establishing a risk management system

Materiality Analysis and Core Issue



Order	Issue
1	Enhancing product and service quality
2	Reinforcing workplace safety
3	Securing exceptional manpower
4	Managing chemical substances
5	Enhancing information security
6	Establishing a risk management system
7	Creating and distributing economic value
8	Advancing the emergency response system
9	Establishing and implementing carbon neutrality goals
10	Ethical management revitalization
11	Efforts for greenhouse gas reduction
12	Establishing eco-friendly strategies and policies
13	Protection of human rights and ensuring respect
14	Securing transparency and independence in the composition and operation of the board of directors
15	Improving employee welfare

Order	Issue
16	Enhancing employees' capabilities
17	Operating a sustainability management committee
18	Establishing ESG goals and mid- to long-term roadmaps
19	Reducing waste and recycling
20	Enhancing energy efficiency
21	Establishing a culture of fair competition
22	Enhancing ESG supply chain management
23	Certification for eco-friendly products
24	Incorporating ESG performance into management evaluation (KPI)
25	Education and raising awareness regarding the environment
26	Protecting natural ecosystems
27	Climate change
28	Expanding community infrastructure
29	Promoting diversity of employees
30	Biodiversity conservation activities

SASB Index

► SASB (Sustainability Accounting Standards Board) Table

Sustainability Disclosure Topics & Accounting Metrics

Industry – Semiconductors		
Classification	Index	Page
Greenhouse Gases Emissions	(1) Scope 1 total emissions, (2) PFCs emissions	20
	Management of Scope 1 emissions, reduction targets, and performance analysis are included in the long-term and short-term strategies or plans	20, 21
Energy Management for Manufacturing	(1) Total energy consumption, (2) Proportion of electricity from the general grid, (3) Proportion of renewable energy	22, 23
Water Management	(1) Total water supply, (2) Total water consumption (The above indicators may include the proportion of water-scarce countries within each metric)	24
Waste Management	Amount of hazardous waste generated in the manufacturing process and recycling rate	25, 26
Employee Health and Safety	Employee safety and health-related assessments and monitoring, activities aimed at reducing employee exposure to risk factors	50–55
	Fines and settlements for violation of employee safety and health laws	N/A
Raw Material Supply	Explanation of risk management associated with the use of issue minerals	37
Acts of Protection and Competition of Intellectual Property Rights	Fines and settlements following violation of law related to unfair competition	N/A

GRI Standards

► GRI 2 General Disclosures

Classification	Index	Page	Note
Universal Standard	2-1 Organizational details	4, 6	
	2-2 Entities included in the organization's sustainability reporting	89	
	2-3 Reporting period, frequency, and contact point	89, 90	
	2-4 Restatements of information	N/A	
	2-5 External assurance	89	
	2-6 Activities, value chain, and other business relationships	4, 6, 7, 33	
	2-7 Employees	38	
	2-8 Workers who are not employees	38	
	2-9 Governance structure and composition	59, 62, 63	
	2-10 Nomination and selection of the highest governance body	63	
	2-11 Chair of the highest governance body	62, 63	
	2-12 Role of the highest governance body in overseeing the management of impacts	62, 63, 64, 71	Topic 6 Establishing a risk management system
	2-13 Delegation of responsibility for managing impacts	15, 64	
	2-14 Role of the highest governance body in sustainability reporting	64	
	2-15 Conflicts of interest	62, 63, 65	
	2-16 Communication of critical concerns	64, 65	
	2-17 Collective knowledge of the highest governance body	39	
	2-18 Evaluation of the performance of the highest governance body	59, 63	
	2-19 Remuneration policies	Disclosed in the business report	
	2-20 Process to determine remuneration	63	
	2-21 Annual total compensation ratio	Disclosed in the business report	
	2-22 Statement on sustainable development strategy	3	
	2-23 Policy commitments	80–88	
	2-24 Embedding policy commitments	5, 8, 12, 19, 33, 34, 35, 39	
	2-25 Processes to remediate negative impacts	40, 41	
	2-26 Mechanisms for seeking advice and raising concerns	41	
	2-27 Compliance with laws and regulations	N/A	
	2-28 Membership associations	3, 19, 33, 37	
	2-29 Approach to stakeholder engagement	8	
	2-30 Collective bargaining agreements	40	

GRI Standards

Topic Specific Standards

GRI 300 Environment

Classification	Index	Page	Note
Emission	305-1 Direct (Scope 1) GHG emissions	20, 21	Topic 4 Managing chemical substances
	305-2 Energy indirect (Scope 2) GHG emissions	20, 21	
	305-4 GHG emissions intensity	20, 21	
	305-5 Reduction of GHG emissions	20, 21	
	305-7 Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions	26	

GRI 400 Social

Classification	Index	Page	Note
Employment	401-1 New employee hires and employee turnover	38	Topic 3 Securing excellent manpower
	401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees	6, 55, 56, 57	
	401-3 Parental leave	55	
Labor Relations	403-1 Occupational health and safety management system	50–54	Topic 2 Reinforcing workplace safety
Occupational Safety and Health	403-2 Hazard identification, risk assessment, and incident investigation	15, 34–36, 50–51	
	403-3 Occupational health services	53	
	403-4 Worker participation, consultation, and communication on occupational health and safety	41, 53–54	
	403-5 Worker training on occupational health and safety	50, 52, 54	
	403-6 Promotion of worker health	54	
Training and Education	403-7 Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	44, 45	Topic 1 Enhancing product and service quality
	403-8 Workers covered by an occupational health and safety management system	50–54	
	403-9 Work-related injuries	32, 53–54	
Customer Health and Safety	416-1 Assessment of the health and safety impacts of product and service categories	N/A	Topic 5 Strengthening information security
	416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	N/A	
Customer Privacy	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	N/A	

UN SDGs Index

► Cooperative Work With UN SDGs

As a global corporate citizen, DB HiTek carries out various activities to achieve UN Sustainable Development Goals (SDGs), considered to be the largest common goal. Consisting of 17 goals and 169 detailed targets, UN SDGs will be implemented until 2030.

Direction		Key Operations
	We strive to minimize the negative effects of hazardous chemicals. We strive to establish a safe and healthy workplace where all employees can work without worries about any dangers.	▪ Certified as an excellent workplace ▪ Safety and health education system ▪ Establishment of a prevention and response system for musculoskeletal disorders ▪ Health care program
	We do our utmost to provide a variety of ways to create a good working environment for women and to improve their quality of life.	▪ Maternity Protection Policy ▪ Certified as a family-friendly company
	Reflecting on the large consumption of water by the semiconductor manufacturing industry, we are concentrating our capabilities on the 3R activities of reducing, reusing, and recycling water resources.	▪ Intensive management of water pollutants ▪ TMS (Tele Monitoring System)
	We strive to increase economic productivity through continuous technological improvement and innovation.	▪ Pattern-wafer support project ▪ Partner's Technological Proposal Program ▪ Education program for semiconductor specialists
	We are committed to responsible, sustainable production by minimizing our environmental impact through waste recycling.	▪ 99% waste recycling rate achieved ▪ Allbaro system ▪ Operation of parts recycling center
	Reduction in greenhouse gas emissions to contribute to solving global issues such as greenhouse gas and climate change.	▪ Education related to hazardous chemicals ▪ Reduction of energy consumption and reusability ▪ Reduction of water use and recycling ▪ Operation of plasma scrubbers
	We are committed to the shared growth with our partner companies in various fields based on the philosophy of co-prosperity, "the competitiveness of partners is the competitiveness of DB HiTek."	▪ Shared Growth Support Program ▪ Responsible Supply Chain ▪ Co-prosperity cooperation program

Third Party Assurance

To Management and Stakeholders of DB HiTek

Introduction

Daishin Economic Research Institute (hereinafter "DERI") has been requested by DB HiTek to perform an independent assurance on the "Sustainability Report 2024" (hereinafter "the Report") for DB HiTek. The Verifier independently reviewed the data and information prepared and disclosed by DB HiTek in the Report and provides the verification statement as follows:

Assurance Level and Details

Assurance Level

This assurance statement is based on AA1000 AS v3, an internationally recognized standard on sustainability assurance. The assurance conducted was at a Moderate Level in accordance with the AA1000AS standards, performing verification by securing and compiling evidence from internal sources or the company concerned. DERI performed a Type 2, Moderate Level of assurance using AA1000AP (2018) with the adherence to the 4 Principles of Inclusivity, Materiality, Responsiveness, and Impact. Additionally, the fidelity and quality of the disclosed information and performance related to sustainability were verified.

Assurance Details

DERI verified whether the Report has been prepared in accordance with the core option of GRI Standards corresponding to the identified level and examined the specific indicators derived from the double materiality assessment.

■ Examination on application of reporting principles within GRI standards

- Requirements on GRI Standards Core Option

■ Universal Standards

■ Topic-Specific Standards

- GRI 305: Emissions
- GRI 401 : Employment
- GRI 403: Occupational Health and Safety
- GRI 416: Customer Health and Safety
- GRI 418: Customer Privacy

Third Party Assurance

Assurance Scope and Limitations

Assurance Scope

- Data and information included in the Report regarding sustainability management activities from January 1st to December 31st 2023 (with some sections of the quantitative data up to May 2024)
- Claims, commitments, plans, and material issues included in the Report
- Correspondence between data and information included in the Report and those publicly available
- Validation of management system and process

Limitations

- Interview individuals in charge of preparing and collecting the performance related to sustainability and review of the data included in the Report
- Review based on publicly available data during the corresponding period

Assurance Methodology

The assurance was conducted through the following procedure

Review of materiality test process and appropriateness of material issue

Review of appropriateness of the evidence provided to meet the index requirements through on-site due diligence

Review of creation, collection, and reporting process of data used for key performance index qualification evaluation

Responsibility and Independence

DERI is not involved in any other business operations aimed at making profit with the exception of providing the third-party assurance service as an independent assurance DERI, as an independent verification body, has no relationship of interest with DB HiTek apart from providing third-party verification for this report, and has conducted this task while maintaining its independence and autonomy.

Third Party Assurance

Assurance Findings

Based on the verification criteria, scope, and methods, no significant errors or inappropriate aspects were found in this report. DERI's opinion on the verification principles is as follows:

Inclusivity

It has been confirmed that DB HiTek categorizes stakeholders as customers, media, employees, government/institutions/local community, shareholders/investors, and partner companies, and strives to incorporate their opinions in their management activities.

Materiality

DB HiTek has identified key issues affecting the organization's sustainability through a self-assessment process, deriving materiality topics in comprehensive consideration of both business perspectives and stakeholder perspectives across economic, social, and environmental aspects.

Responsiveness

To appropriately respond to the demands and concerns of key stakeholders, DB HiTek operates various communication channels tailored to the characteristics of each stakeholder group. It has been confirmed that DB HiTek responds to stakeholder demands and manages issues through these communication channels.

Impact

It has been confirmed that DB HiTek takes into account the impact of stakeholder and material issues on the organization and monitors and analyzes the impact of its business on stakeholders, incorporating these impacts into the report.

Reliability of Performance Indicators

DERI verified the fidelity of economic, environmental, and social performance based on data sampling, evidential documents, and public databases, and did not discover any intentional errors or inaccurate representation.

Qualifications of the Auditor

DERI is a leading Korean ESG research and consulting institute and an officially licensed provider of AA1000. The assurance was meticulously conducted using well-documented procedures and methodologies by a team with sufficient ESG knowledge and expertise in assurance.

June 2024
Jae Wook Baek

CEO of Daishin Economic Research Institute



A handwritten signature in black ink, appearing to read "Jae Wook Baek", is shown next to the logos.

About This Report

Overview of the Report

DB HiTek aims to create a society where people, businesses, and the environment co-exist harmoniously and co-prosper. This report introduces the overall ESG activities of DB HiTek in order to create economic, social, and environmental values.

DB HiTek annually publishes ESG Sustainability Reports (formerly CSR Reports), which are available for reading and download on the company website (www.dbhitek.com).

Reporting Standard

This report was drafted in accordance with the Core Option of the Global Reporting Initiative (GRI) Standards and the international standard guidelines for ESG sustainability reports. This report reflects major agendas of the UN SDGs, UN Global Compact ten principles, and SASB. The financial performance was prepared in accordance with the Korea International Financial Reporting Standards (K-IFRS).

Reporting Period

The reporting period of this report is from January 1st, 2023 to December 31st, 2023, and some information covers performance up to May 2024.

Also, key data includes information and performance trends for 3 years starting from 2021, enabling readers to better understand the trend of the performance index.

Scope of Report

This report records the activities of domestic worksites such as the Bucheon Factory (headquarters) and Sangwoo Factory, and data from other overseas subsidiaries shall be separately specified if needed.

Report Verification

In order to secure the reliability and fairness of the preparation process and data of this report, third-party verification was conducted by an independent external specialist organization, and the verification opinion thereof is disclosed in this report.

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